

JUSTICE



ZIMBABWE SCHOOL EXAMINATIONS COUNCIL

General Certificate of Education Advanced Level

ECONOMICS

9158/1

PAPER 1 Multiple Choice

NOVEMBER 2011 SESSION

1 hour 30 minutes

Additional materials;

Multiple Choice answer sheet

Soft eraser

Soft pencil (type B or HB is recommended)

TIME 1 hour 30 minutes

INSTRUCTIONS TO CANDIDATES

Do not open this booklet until you are told to do so.

Write your name, Centre number and candidate number on the answer sheet in the spaces provided, unless this has already been done for you.

There are **forty** questions in this paper. Answer **all** questions. For each question there are four possible answers, **A, B, C** and **D**. Choose the **one** you consider correct and record your choice in **soft pencil** on the separate answer sheet.

Read very carefully the instructions on the answer sheet.

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This question paper consists of 11 printed pages and 1 blank page.

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- 1 In economics a statement is positive if it
- A examines the desirability of government economic policy.
 - B assumes current economic conditions remain unchanged.
 - C concerns the factual outcomes of an economic action.
 - D is based upon the opinion of an economic advisor.
- 2 An economy is operating at a point on its production possibility curve. What is true about the way the economy's resources are being used at this point?

	Allocatively efficient	Productively efficient	Socially desirable
A	Possibly	Yes	Yes
B	Yes	Possibly	Possibly
C	Possibly	Yes	Possibly
D	Yes	Possibly	Yes

- 3 The market demand for a product is made up of the demand for three firms K, L and M. The table shows the demand and the market supply from each firm.

Price \$	Demand from K	Demand from L	Demand from M	Market Supply
70	3 300	3 300	3 300	3 300
80	3 100	2 900	3 100	6 200
90	2 800	2 500	2 900	8 200
100	2 500	2 100	2 700	10 000

What is the market equilibrium price?

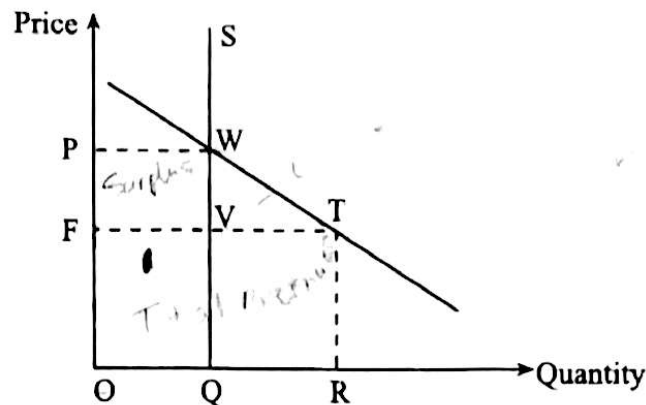
- A \$ 100
 - B \$ 90
 - C \$ 80
 - D \$ 70
- 4 From the table, in which price range is demand for the good K inelastic?

GOOD K	
Price \$	Quantity Demanded
12	250 <i>200</i>
11	450 <i>50</i>
10	500 <i>100</i>
9	600 <i>50</i>
8	650

- A \$ 12 - \$ 11
- B \$ 11 - \$ 10
- C \$ 10 - \$ 9
- D \$ 9 - \$ 8

12 inelastic

- 5 The diagram shows the supply and demand curves for tickets for the Zimbabwe Football Association cup final.



If all tickets are sold at price OF rather than the market clearing price, which area in the diagram represents the resultant market loss of revenue?

- A VWT
 B FPWV
 C FPWT
 D QVTR
- 6 A government intends to introduce a maximum price for maize, minimum price for wheat and a tax on sales of shoes. Who benefits from each market?

Market for wheat	Market for maize	Market for shoes
A consumers ✓	government	producers
B government	producers	government
C producers	producers	consumers
D producers ✓	consumers ✓	government ✓

- 7 What is an essential characteristic of a private good?
- A consumption of the good by the user has no external effects on the consumption of others
 B consumption of the good by one person diminishes the quantity available to others
 C it is produced by the private sector
 D the user has to pay for it
- 8 In which situation is it likely that the demand for labour would be inelastic?
- A labour and capital are close substitutes
 B labour costs are only a small proportion of total costs
 C demand for the final product that the labour produces is elastic
 D a large number of unemployed labour is available in the economy

- 9 Firm X grows in size and is specialising in a narrower range of products.

What economies of scale will the firm be less able to benefit from?

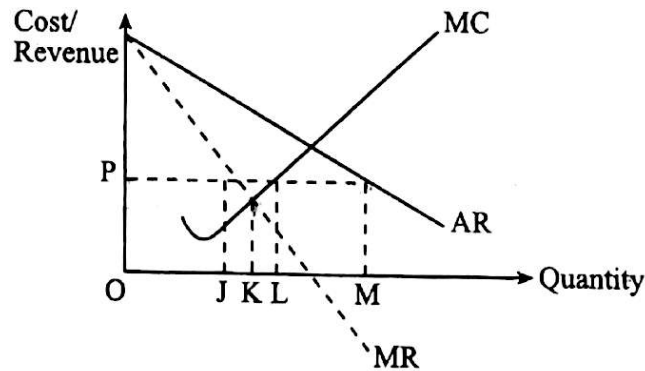
- A financial
- B marketing
- C risk-bearing
- D technical

- 10 A firm in perfect competition currently sells 100 units at \$15 each. What will be the revenue obtained by the firm if it increases its price to \$20?

- A \$ 0
- B \$ 100
- C \$ 1 500
- D \$ 2 000

100 — 1
200 — 2
300 — 3
400 — 4
500 — 5
600 — 6
700 — 7
800 — 8
900 — 9
1000 — 10

- 11 The diagram shows the initial cost and revenue curves of a monopoly.

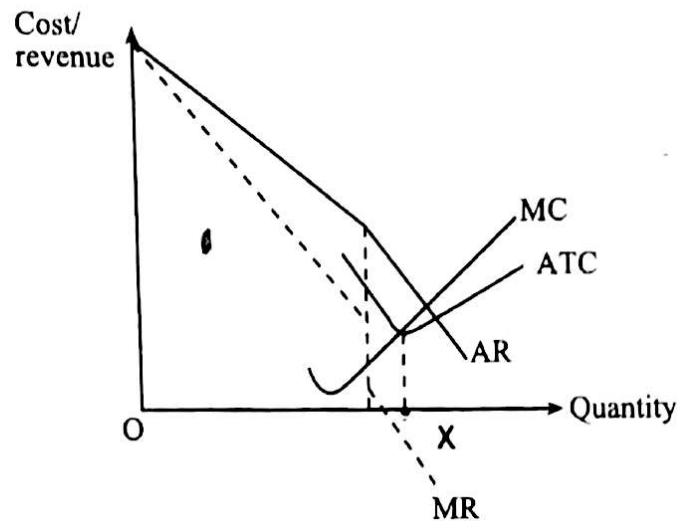


What would be the firm's profit maximising quantity if the government fixes the price at OP?

- A OJ
- B OK
- C OL
- D OM

Profit maximises Profits when $MR = MC$
Monopoly MC AR

- 12 The diagram shows the cost and revenue curves of an oligopolistic firm.



What is the firm's objective if it produces output OX?

- A to maximize profit
 - B to achieve normal profit
 - C to achieve productive efficiency
 - D to achieve allocative efficiency.
- 13 The introduction of a minimum hourly wage for all workers over 20 years of age is expected to increase the average wage of these workers.

What will be the likely effect on the workers **under** 20 years?

	Unemployment for under 20s	Average wage for under 20s
A	falls	fall
B	rises	fall
C	falls	rise
D	rises	rise

- 14 An individual works 40 hours per week when the wage rate is \$300 per hour. When the wage rate is increased to \$350 per hour, the individual works 36 hours per week. What explains the change in the number of hours worked?

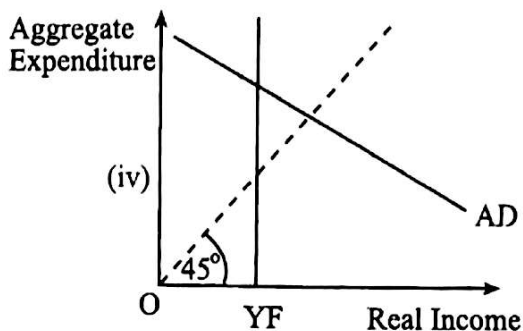
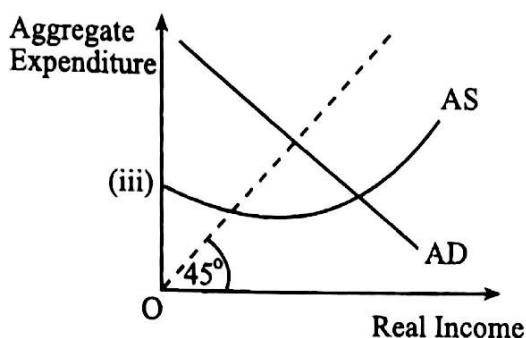
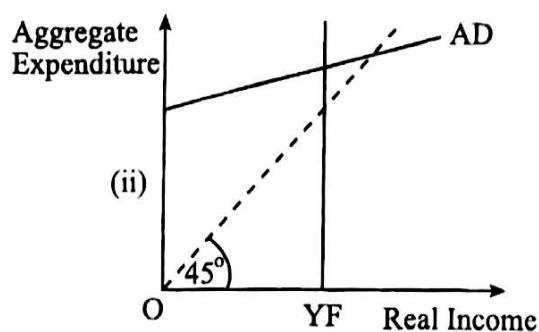
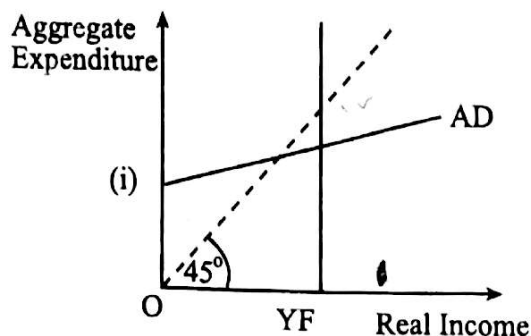
- A a negative income elasticity of demand for leisure
- B an income effect outweighing a substitution effect
- C an income effect reinforcing a substitution effect
- D a zero income effect

- 15 The table shows the main characteristics of employment in two occupations.

ASPECT	OCCUPATION X	OCCUPATION Y
Average annual wage	\$ 200 000	\$ 70 000
Number of weeks annual leave	5 weeks	12 weeks
Average length of working week	48 weeks	42 weeks
Job security	low	high
Length of training course to obtain job qualification	1 year	2½ years

What can be deduced from the table?

- A There will be more competition for training courses to enter occupation X than occupation Y.
- B Those employed in occupation X attach less importance to leisure activities.
- C Those employed in occupation Y attach greater importance to job security.
- D Occupation Y has greater non-pecuniary advantages than occupation X.
- 16 When the central bank lowers the reserve requirements,
- A investors will purchase open market bonds.
- B people will deposit more money.
- C banks will create more money.
- D banks must hold less money.



In the diagrams above, an inflationary gap is demonstrated by

- A (i) and (iii)
- B (ii) and (iv)
- C (ii) and (iii)
- D (i) and (ii)

- 18 In a country with a population of 20 million, there are 9 million people employed and 1 million unemployed. Calculate the unemployment rate?

- A 11 %
- B 10 %
- C 9 %
- D 5 %

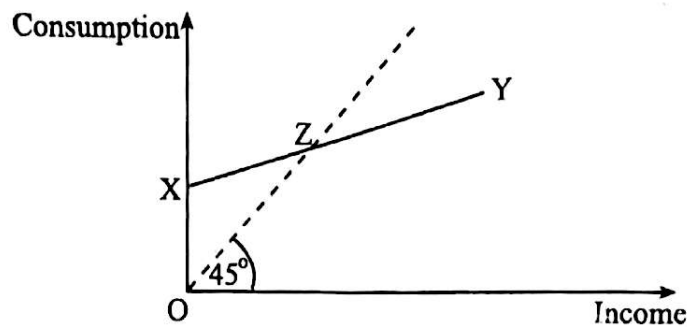
- 19 The gross domestic product (GDP) in a four sector economy is \$3 452, government purchases are \$1 865, consumer expenditure is \$2 343 and gross investment is \$1 379. The figures are millions of dollars.

What is the level of net exports?

- A +\$ 93
- B +\$ 123
- C -\$ 45
- D -\$ 2 135

- 20 What is the purpose of the statistical discrepancy on the balance of payments accounts?
- A to ensure that the sum of all debits equal to the sum of all credits
 - B to ensure that imports equal the value of exports
 - C to obtain an accurate account of the balance of payments deficit
 - D to obtain an accurate account of balance of payment surplus
- 21 Given that the money demand equals money supply and the balance of payment is in equilibrium. What would lead to a balance of payment surplus?
- A a decrease in the money supply
 - B an increase in the money supply
 - C a decrease in the money demand
 - D an increase in disposable income
- 22 What is the market value of all final goods and services produced in the economy in a given year?
- A Net National Product
 - B National Income
 - C Gross Domestic Product
 - D Gross National Product,
- 23 What is taken into account by Cost Benefit Analysis (CBA)?
- A private costs and benefits only
 - B external costs and benefits only
 - C the opportunity cost of investment expenditure
 - D both private and social costs and benefits
- 24 Which of the following may offset a current account deficit?
- A merchandise trade surpluses
 - B merchandise trade deficits
 - C capital account surpluses
 - D capital account deficit
- 25 Fiscal policy involves the control of *the change in government spending, taxation, borrowing*
- ✓ A interest rates by the central bank. *- interest rate*
 - ✓ B prices to cushion consumers. *- capital cost*
 - ✓ C the government budget. *- low inflation*
 - ✓ D wages. *- wage*
- 26 Which of the following exchange rate systems is likely to result in large idle money balances in an economy?
- A fixed *- substitute*
 - B floating
 - C dual
 - D managed floating

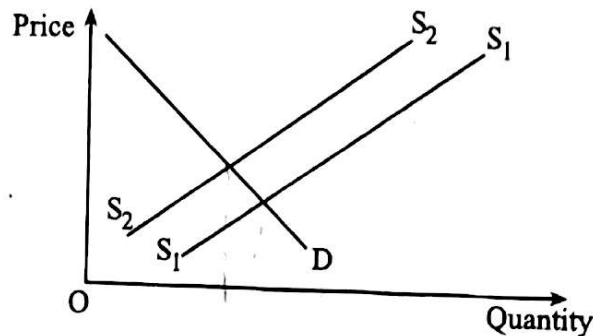
- 27 Which of the following is an invisible export of Zimbabwe?
- ☐ A expenditure by holiday makers from China at Victoria Falls
 - ☒ B repayment of loan to the African Development Bank
 - ☐ C expenditure by Zimbabwean soldiers in D.R.C
 - ☒ D exports of horticultural produce to a Japanese Bank
- 28 The line XY in the diagram shows a consumption function.



Which statement is true about the MPC and APC along XY?

- ☐ A MPC is always less than APC.
 - ☐ B MPC is always greater than APC.
 - ☒ C $APC = MPC = \text{constant throughout}$.
 - ☐ D Only at Z is $MPC = APC$.
- 29 Cost-push and demand-pull inflation respectively are caused by
- ☐ A an increase in aggregate demand and an increase in aggregate supply.
 - ☐ B a decrease in aggregate demand and a decrease in aggregate supply.
 - ☐ C an increase in aggregate supply and decreases in aggregate demand.
 - ☐ D decreases in aggregate supply and increases in aggregate demand.
- 30 If 2000 is the base year for the GDP deflator, it follows that
- ☐ A nominal GDP = real GDP in the year 2000.
 - ☐ B nominal GDP is greater than the real GDP in the year 2000.
 - ☐ C nominal GDP is less than the real GDP in the year 2000.
 - ☐ D nominal GDP in 2000 will be greater than real GDP in 2001.

- 31 The Paradox of thrift means that
- A an increase in total savings lowers the level of real GDP.
 - B an increase in the MPS lowers the value of the multiplier.
 - C an increase in the real GDP increases the investment demand.
 - D an increase in the APS lowers or leaves unchanged the level of savings.
- 32 The diagram shows the market conditions for good X. Which of the following changes cause a shift in supply from S_1 to S_2 ?



- A an increase in the demand for the good
 - B lower yields due to drought
 - C a contraction in supply
 - D an expansion in demand
- 33 Which of the following is likely to result from an increase in subsidies for mealie-meal?
- A an increase in taxes
 - B an increase in poverty levels
 - C an increase in the amount of maize grown by farmers
 - D a marked increase in demand for mealie-meal
- 34 Which of the following is an externality arising out of a premier soccer match?
- A damage caused by soccer fans to shops around the soccer stadium
 - B revenue earned by commuter vehicle operators
 - C payments by clubs to the city council
 - D earnings paid to soccer players
- 35 What effect will government investment expenditure have on public sector debt in the long run?
- A increasing the public sector debt
 - B private sector crowding out
 - C increasing money supply
 - D increasing interest rate

- 36 How best can structural unemployment be defined?
- A unemployment that arises from changes in the pattern of demand or supply
 - B unemployment that occurs because some people are virtually unemployable
 - C unemployment that occurs during the period when workers are looking for a new job
 - D unemployment that is associated with industries where the demand for labour is lower at certain times of the year
- 37 The Phillips curve relates to which conflicting objectives?
- A low unemployment and low inflation
 - B low unemployment and high inflation
 - C low unemployment and BOP deficit
 - D low unemployment and equitable distribution of income
- 38 Which of the following is **not** a valid reason for government intervention in agriculture?
- A uncertainty may discourage farming
 - B unstable prices may disadvantage consumers
 - C fluctuating prices cause fluctuating farm incomes
 - D consumers need a variety of commodities through competition
- 39 Under which conditions will the economic rent received by certain type of labour decrease?
- A when the demand for labour shifts to the right
 - B when a trade union is formed to serve the profession
 - C when more professionals migrate to other countries
 - D when more training institutions are opened by government
- 40 Economic growth in Zimbabwe can be increased by
- A increasing income tax.
 - B limiting trade with South Africa.
 - C using government funds to help finance basic research.
 - D decreasing the time for which a patent is effective from 20 years to 5 years.



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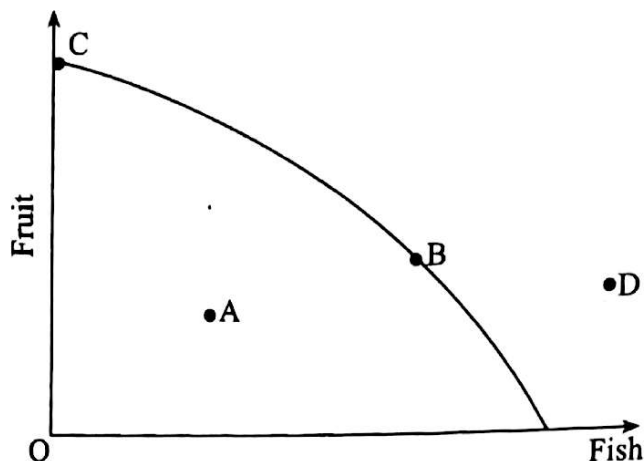
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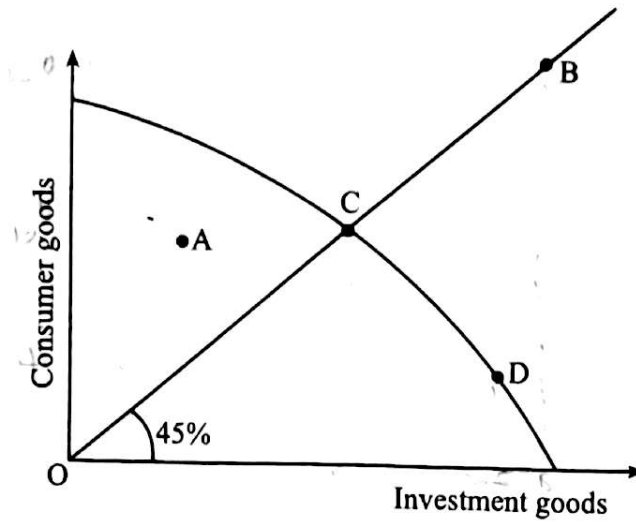
- 1 The production possibility curve (PPC) below is for an economy which catches fish and gathers fruits.



Which bundle A, B, C or D cannot be attained with the economy's current resources?

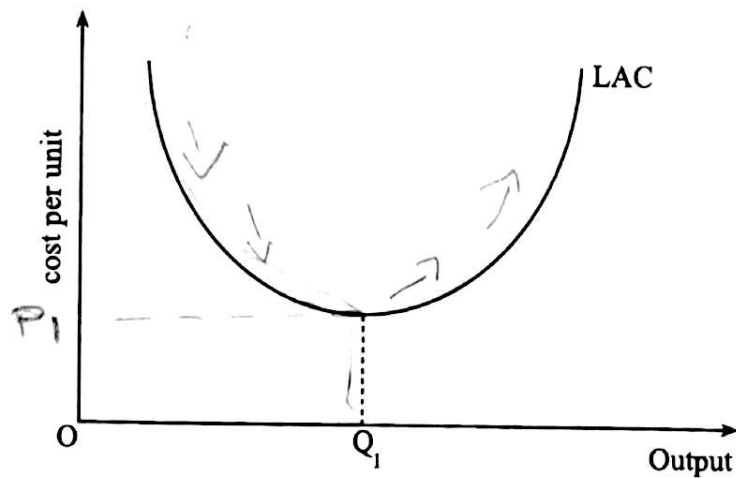
- 2 A profit-maximising firm will stop producing in the short-run if
- A average variable cost is greater than price.
 - B average total cost is greater than price,
 - C total revenue is less than total cost.
 - D total revenue is less than total variable cost.
- 3 Involuntary unemployment can be a result of
- A minimum wage legislation meant to protect the lowly paid.
 - B employers paying higher than average wage rates to discourage quits.
 - C the introduction of an incentive scheme by the employer.
 - D an improvement in conditions of work.
- 4 Which of the following could cause the price of houses to increase in an urban area?
- A an increase in the willingness of the Council to sell houses to tenants
 - B an increase in the number of firms closing down
 - C an increase in lending by Building Societies
 - D an increase in the supply of building materials

- 5 An economy chooses between producing consumer and investment goods. Its production possibility curve is shown below.



Which of the four combinations A, B, C or D of consumer and investment goods would most likely lead to the fastest rate of economic growth in the future?

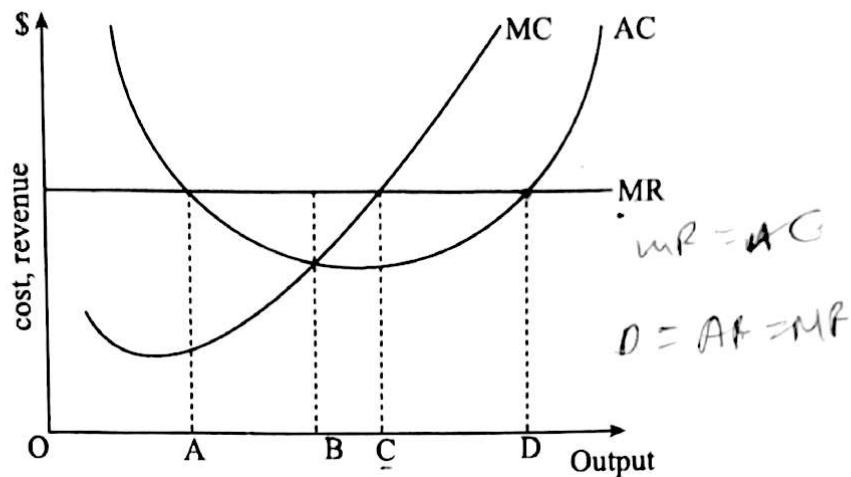
- 6 A firm's long-run average cost curve is shown below.



Which of the following is correct?

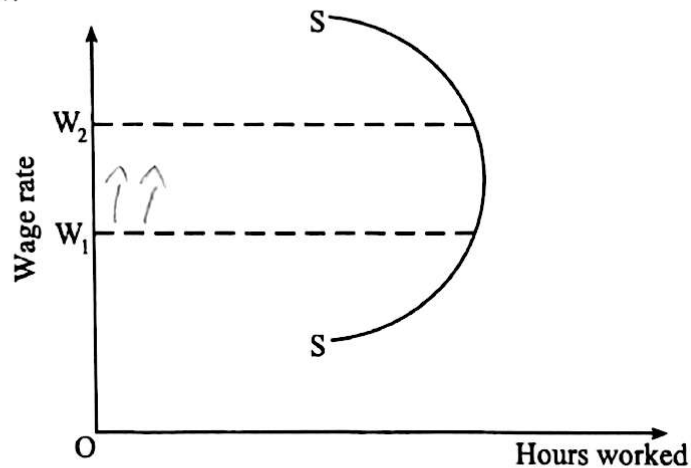
- A OQ_1 is the break-even output.
- B OQ_1 is the profit-maximising output.
- C Up to Q_1 the firm faces decreasing returns.
- D Up to Q_1 the firm faces increasing returns.

- 7 The diagram below relates to a firm operating in a perfectly competitive industry.



At which level of output A, B, C or D does the firm maximise profit?

- 8 The amount of labour supplied by an employee at different wage rates is shown on the diagram below.

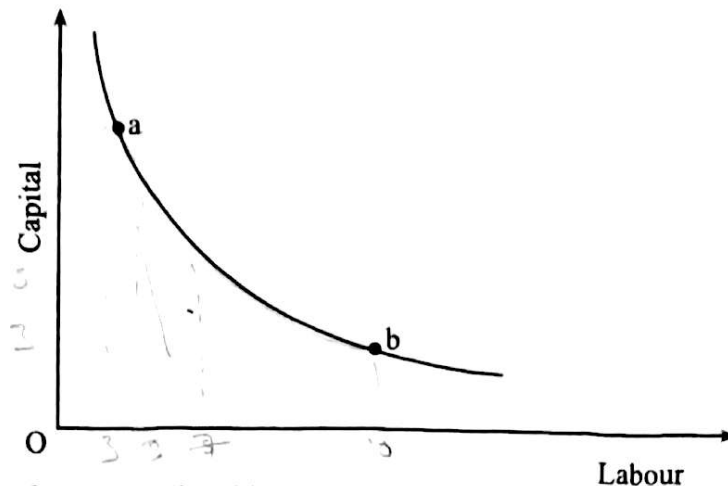


Which statement explains the movement from W_1 to W_2 ?

- A The employer has induced an increase in hours worked by the employee.
- B The substitution effect dominates the income effect.
- C The employer has substituted capital for labour.
- D The employee demands more leisure.

increased hours

- 9 The isoquant below shows combinations of capital and labour employed to produce a certain quantity of output.



A movement from 'a' to 'b' will be caused by

- A an increase in the cost of capital.
 - B an increase in the cost of labour. ✗
 - C a fall in labour productivity. ✗
 - D a rise in the productivity of capital. ✓
- 10 Which of the following is a source of market failure?
- A improved transport
 - B collusion of firms
 - C presence of perfect knowledge
 - D prevalence of external benefits
- 11 Resource allocation is said to be efficient when
- A all firms in an economy are producing at equilibrium level of output.
 - B production takes place along the production possibility curve.
 - C production of a good cannot be increased without reducing the production of another good.
 - D production of a good can be increased without reducing the production of another good.
- 12 In a closed economy, households pay \$0,20 tax on every \$1 increase in their income, and spend $\frac{3}{4}$ of every increase in their disposable income.

What is the value of the multiplier?

- A 2,5
- B 1,8
- C 0,25
- D 0,05 ✗

\$20 on every \$1

$$\frac{3}{4} \times 0,80$$

$$\begin{aligned} & 1 - mps \\ & 1 - 0,80 - \frac{3}{4} \\ & \frac{1}{4} \\ & 0,25 \\ & \text{[Turn over]} \\ & 0,25 \end{aligned}$$

- 13 The consumption function for a closed economy with no government sector is $C = \$400m + \frac{3}{4}Y$. At what level of national income will savings be equal to zero?

A \$1600m.
B \$1000m.
C \$800m.
D \$500m.

$$C = \$400m + \frac{3}{4}Y$$

$$1000 = 400 + \frac{3}{4}Y + 300$$

$$= 400 + 300 + 200 = 900$$

- 14 The rate of interest may rise due to

A an increase in the productivity of investments.
B a decrease in the demand for goods.
C an increase in the stock of money.
D a decrease in the general price level.

$$1 - mpc \Rightarrow C + I + G = Y$$

$$1 - \frac{3}{4} = \frac{1}{4}$$

- 15 Which of the following does **not** cause the transaction demand for money to increase?

A an increase in the level of income
B an expected increase in the price of consumer goods
C an increase in the rate of value-added tax
D an increase in the rate of income tax

$$AC = 400m$$

$$AY = AC$$

- 16 Which policy would be most suitable for reducing the unemployment level?

A Increase taxes and increase government expenditure.
B Increase taxes and reduce government expenditure.
C Reduce taxes and increase government expenditure.
D Reduce taxes and reduce government expenditure.

$$\frac{400m}{3} = \frac{400m}{4}$$

- 17 Economic growth may result from

A an increase in unemployment.
B an increase in the utilisation of resources.
C an increase in the number of people moving out of the labour force.
D an increase in the rate of depletion of natural resources.

$$AC = 400m$$

$$\frac{AC}{3} = \frac{400m}{4}$$

$$AC = 300$$

- 18 Which of the following is **not** a necessary feature of a monetary union?

A common interest rate policy
B single monetary authority
C freedom of capital movement
D federal government

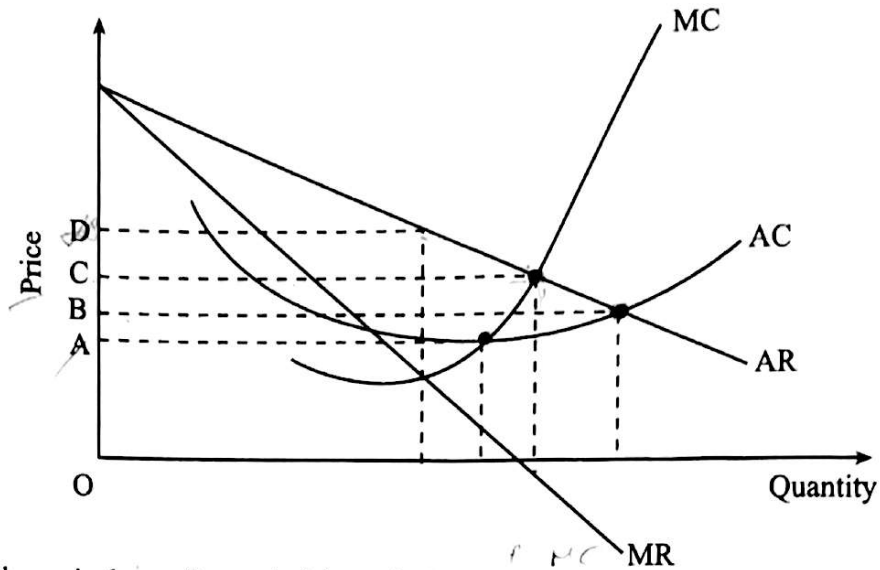
- 19 Cost-push inflation is caused by

A an increase in trade unionism.
B an increase in bank lending.
C an increase in the supply of inputs.
D an increase in demand for a country's exports.

- 20 A capital inflow in the balance of payments may cause
- A a deficit on the current account.
 - B a rise in the exchange rate.
 - C a rise in the inflow of dividend payments.
 - D a rise in the outflow of hot money.
- 21 At full-employment, which policy is most suitable for controlling inflation?
- A restricting imports
 - B increasing tax rates
 - C increasing exports
 - D increasing personal tax allowances
- 22 If a consumer gains 20 units of satisfaction from consuming 4 units of a commodity and 23 units from consuming 5 units, the consumer's marginal utility from the 5th unit is
- A 43 units
 - B 23 units
 - C 3 units
 - D -3 units
- 23 Which condition could lead to the breakdown of a collusion of firms?
- A one of the firms develops a new cost-saving production technique
 - B one of the firms becomes dominant in the industry
 - C a tightening of barriers to foreign trade
 - D a decline in the number of firms in the industry

satisfaction (units)	commodity (units)
20	4
+3	5
23	

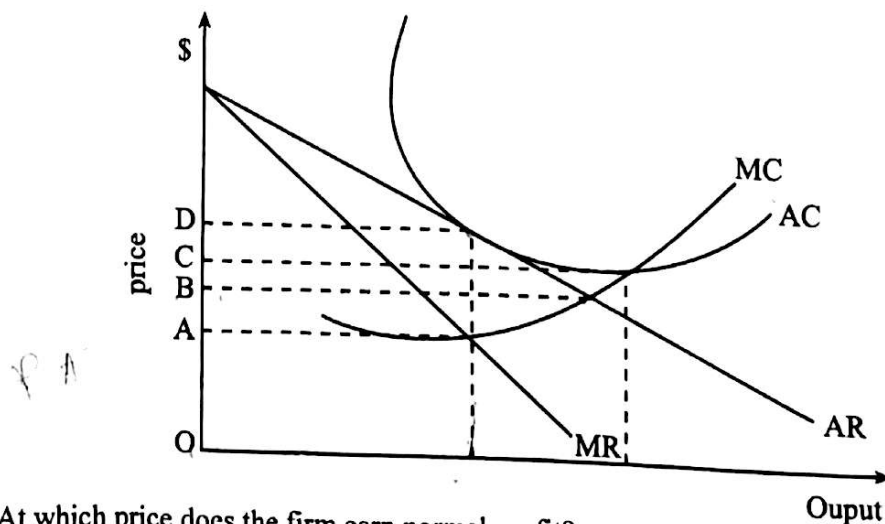
- 24 The diagram below shows the revenue and cost curves of a monopoly.



Which one is the profit-maximising price?

- A OD.
 - B OC.
 - C OB.
 - D OA.
- 25 Frictional unemployment is caused by
- A the introduction of new technology.
 - B a shift in the pattern of consumer demand. *seasonal*
 - C workers being ill-informed about the labour market.
 - D employers cutting down their level of production.

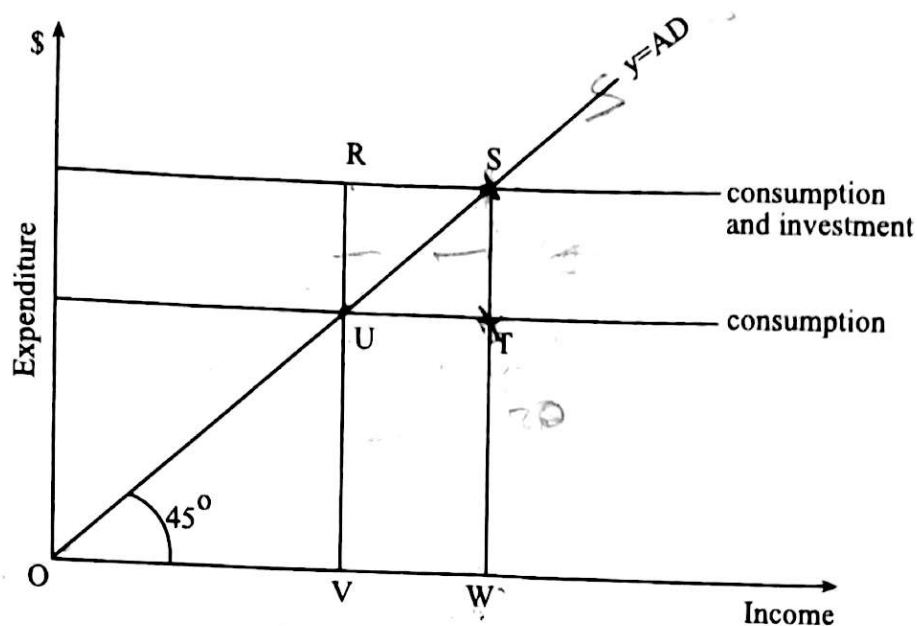
- 26 The diagram below shows the long-run position of a firm.



At which price does the firm earn normal profit?

- A OD.
- B OC.
- C OB.
- D OA.

- 27 The diagram below relates to a closed economy with no government sector.



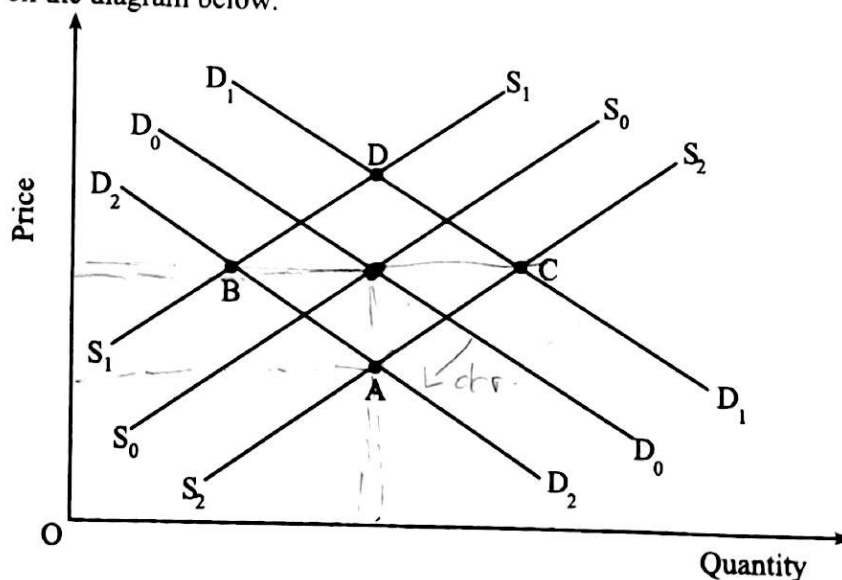
At the equilibrium level of income, the average propensity to consume is

- A RU/OV
 B ST/TW
 C ST/OW
 D TW/OW

$$APC = \frac{C}{Y}$$

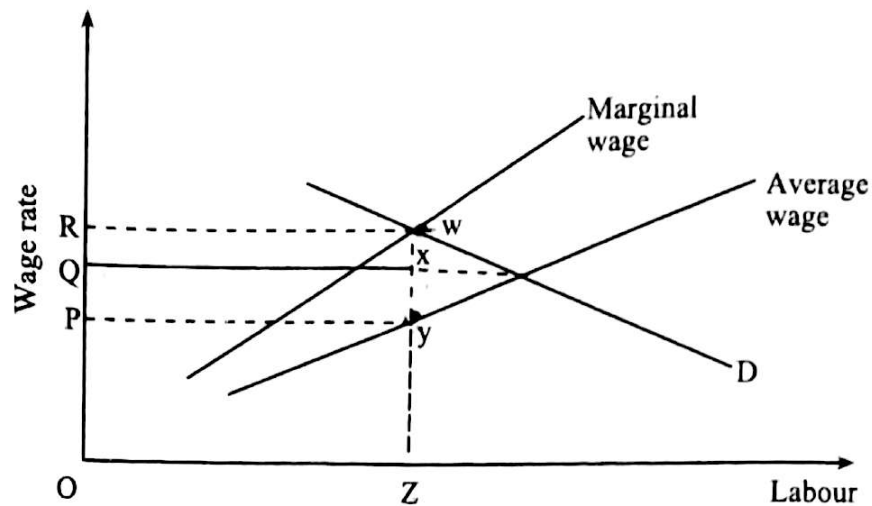
$$MPC = \frac{\Delta C}{\Delta Y}$$

- 28 Some press articles discouraged consumers from eating butter. The campaign was followed by a rise in the cost of oils from which margarine is made. The market for margarine is shown on the diagram below.



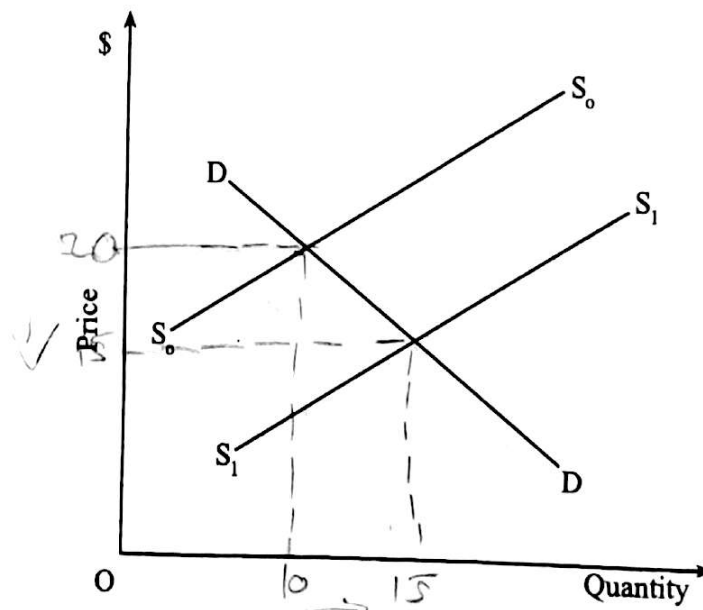
At which point A, B, C or D is the new equilibrium for margarine?

- 29 The diagram below shows a monopsonistic labour market in which employees are not unionised.



The employer enjoys a surplus of

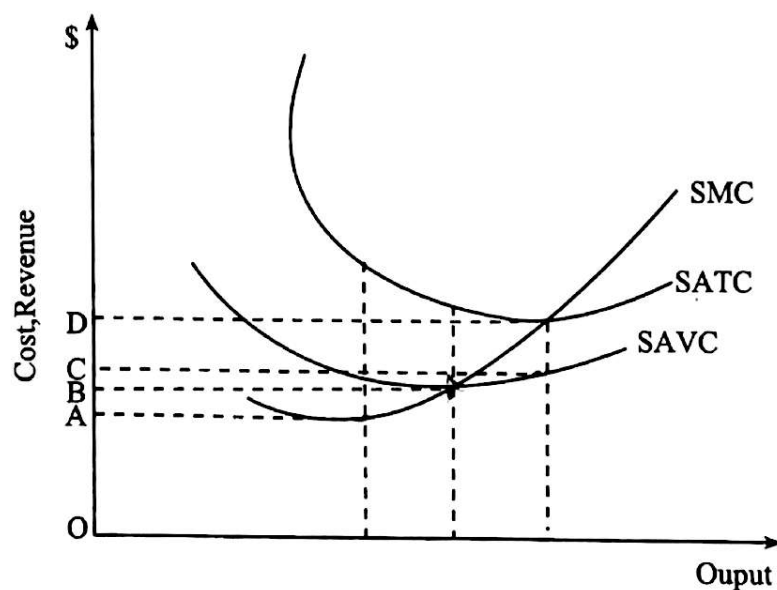
- A PQXY.
 - B PRWY. ✓
 - C ORWZ. ✓
 - D OQXZ.
- 30 The market for a commodity is shown on the diagram below.



What might have caused the supply curve to shift from S_0 to S_1 ?

- A a fall in the price of a component ✓
- B a fall in the price of a complement ✓
- C an increase in the wage rate ✓
- D an increase in consumers' incomes ✓

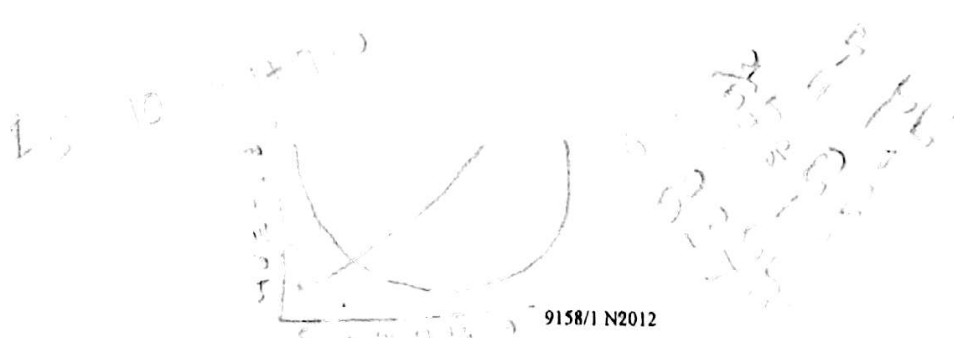
- 31 A firm enters into a conglomerate merger in order to
- A reduce its dependence on supplies of skilled labour.
 - B retain its share of the market for its product.
 - C gain control of its raw material supplies.
 - D diversify its range of products.
- 32 Which of the following would **not** be a barrier to entry into an industry?
- A patents on key production processes
 - B substantial economies of scale
 - C large initial capital costs
 - D absence of threat of takeover by existing firms
- 33 Total utility will fall whenever
- A marginal utility is zero.
 - B marginal utility is negative.
 - C marginal utility is increasing.
 - D marginal utility is decreasing.
- 34 A firm in perfect competition faces the following cost and revenue conditions.



The shutdown price of the firm is

- A OD.
- B OC.
- C OB.
- D OA.

- 35 Public sector spending crowds-out private sector investment through
- A a rise in money supply.
 - B a rise in the multiplier.
 - C a rise in interest rates.
 - D a rise in aggregate money demand.
- 36 Diminishing marginal utility implies that total utility
- A increases at a decreasing rate.
 - B increases at an increasing rate.
 - C decreases at a constant rate.
 - D decreases continuously.
- 37 How can a firm increase its profits if the elasticity of demand for its product is less than one?
- A by decreasing its price ✓
 - B by increasing its price
 - C by advertising to develop brand loyalty
 - D by improving its packaging
- 38 In a closed economy, the multiplier would decrease due to
- A a rise in the marginal propensity to import.
 - B a rise in the marginal propensity to consume.
 - C a rise in the marginal tax rate.
 - D a rise in the marginal propensity to invest.
- 39 A favourable movement in the terms of trade implies that
- A the balance of payments has improved.
 - B the prices of exports have increased. ✓
 - C the currency has depreciated. ✓
 - D the visible trade balance has worsened. ✓
- 40 The condition of consumer equilibrium exists where
- A the budget line cuts a lower indifference curve ✓
 - B firms provide a variety of products. ✓
 - C all marginal utilities are equal. ✓
 - D the ratios of marginal utility to price are the same for all products purchased.





ZIMBABWE SCHOOL EXAMINATIONS COUNCIL
General Certificate of Education Advanced Level

ECONOMICS

9158/1

PAPER 1 Multiple Choice

NOVEMBER 2013 SESSION

1 hour 30 minutes

Additional materials;
Multiple Choice answer sheet
Soft eraser
Soft pencil (type B or HB is recommended)

TIME 1 hour 30 minutes

INSTRUCTIONS TO CANDIDATES

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This question paper consists of 13 printed pages and 3 blank pages.

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[Turn over

- 1 Opportunity cost means
 - A the price of a good in terms of the price of the other good.
 - B the price of a good in terms of the best alternative forgone.
 - C the price of one good in terms of the other in barter trade.
 - D the time lost in costing goods and services.

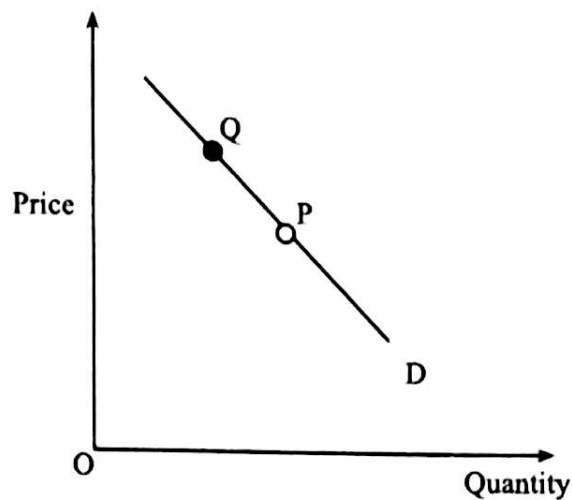
- 2 Which of the following is **not** a characteristic of a public good?
 - A It is non-rejectable.
 - B It is non-excludable.
 - C It is non-rival in consumption.
 - D It is provided by the private sector.

- 3 Which of the following can be derived from a production possibility frontier?
 - A the opportunity cost of producing product A to B
 - B the characteristics of products A and B
 - C the income level of consumers in the economy
 - D the method of production in the economy

- 4 The demand for a factor of production is said to be 'derived'. This means
 - A the demand for the factor is price elastic.
 - B the demand for the factor is price inelastic.
 - C the demand for the factor is decreasing.
 - D the factor is not demanded for its sake but for the product to be produced.

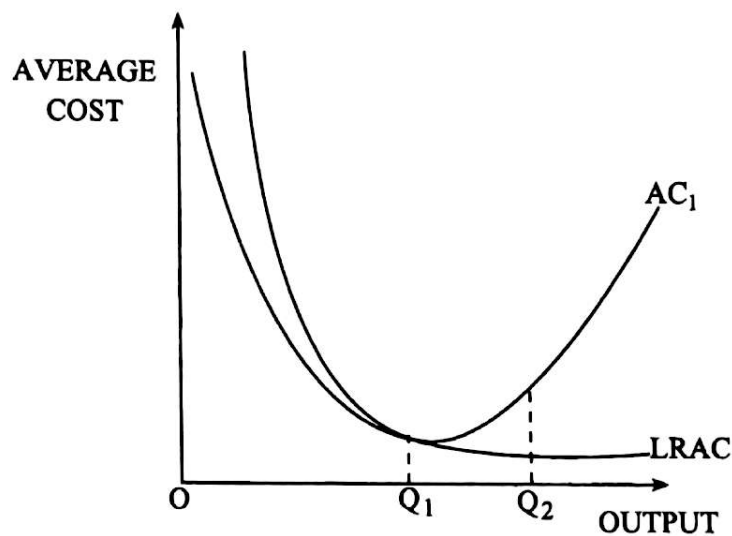
- 5 The consumer is said to be in equilibrium when
 - A the price of X is at its maximum whilst that of Y is at its minimum.
 - B the relative prices are equal to the marginal rate of substitution.
 - C the price of X is equal to the price of Y.
 - D the quantity demanded of X is equal to that of Y.

- 6 The diagram below shows the demand curve for good A. What would cause a movement along the curve from P to Q?



- A a change in consumer tastes
- B a decrease in the demand for A
- C an increase in the production costs for A
- D a reduction in the price of a substitute

- 7 The diagram below shows a firm's average cost curve (AC_1) when it is operating plant size I and LRAC represents its long run average cost.



The reason for LRAC to be lower than AC_1 at output OQ_2 is that

- A the optimum capacity of plant size I is OQ_1 .
- B LRAC embodies higher fixed costs than AC_1 .
- C the LRAC embodies greater economies of scale.
- D the market for the product is greater at OQ_2 than the optimum of plant size I.

- 8 In a given production process, labour and capital are substitutable. What will be the effect on the quantities of labour and capital employed if the government introduces a subsidy on capital investment?

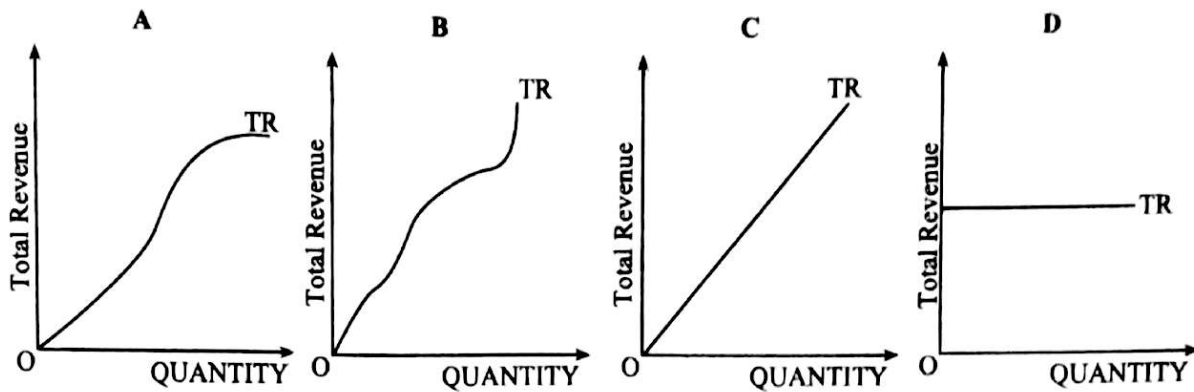
	Quantity of Labour	Quantity of capital
A	decrease	increase
B	decrease	uncertain
C	increase	increase
D	uncertain	increase.

- 9 A firm's average variable costs are \$30,00 at an output level of 20 000 units. Its total fixed costs are \$20 000,00.

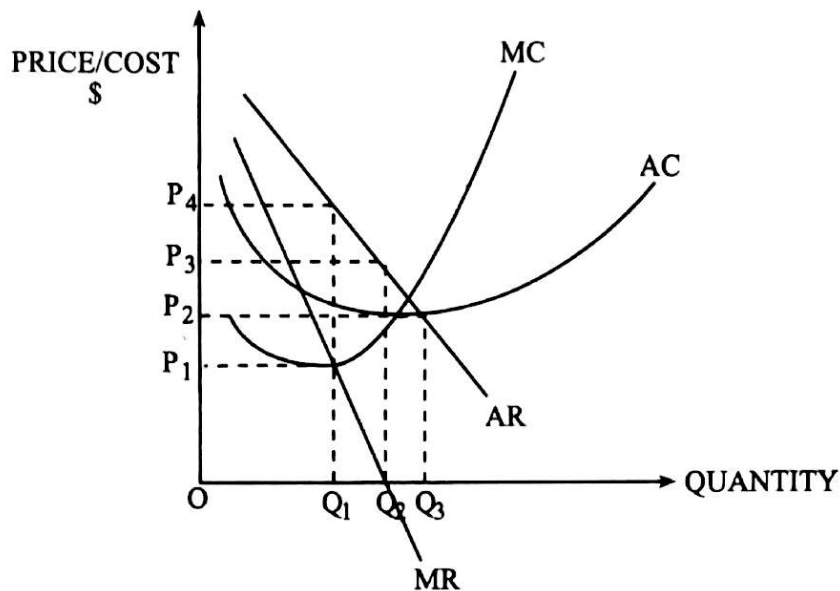
For the firm to earn normal profit, which price should it charge per unit?

- | | |
|---|---------|
| A | \$1,00 |
| B | \$3,00 |
| C | \$30,00 |
| D | \$31,00 |
- 10 When a firm increases all its inputs threefold its output increases twofold. What does this illustrate?
- | | |
|---|------------------------------|
| A | increasing returns to scale |
| B | decreasing returns to scale |
| C | the law of diminishing costs |
| D | economies of scale |
- 11 Perfect competition differs from monopolistic competition in that
- | | |
|---|--|
| A | there are few firms. |
| B | products are homogeneous. |
| C | there are barriers to entry of new firms. |
| D | firms earn abnormal profits in the long run equilibrium. |

- 12 The diagrams below show total revenue curves for four different firms (A, B, C and D). Which firm is producing under conditions of perfect competition?



- 13 The diagram below shows a firm changing from profit maximisation to sales maximisation.



What are the price and output combinations before and after the change?

	Before change	After change
A	P_1 and Q_1	P_2 and Q_3
B	P_4 and Q_1	P_3 and Q_2
C	P_2 and Q_3	P_1 and Q_1
D	P_3 and Q_2	P_2 and Q_3

- 14 If a monopolist sets a price equal to its average cost, what would happen?

- A It would break-even.
- B It would make a loss.
- C It would maximise revenue.
- D It would maximise profits.

- 15 Good A and Good B are substitutes. What will be the effect on the equilibrium price and quantity of Good A of an increase in the supply of Good B?

	Price	Quantity Demanded
A	decrease	decrease ~
B	increase	increase
C	increase	decrease ~
D	decrease	increase

- 16 In which period is elasticity of supply equal to zero?

A	the short run
B	the mometary period
C	the long run
D	the very long run

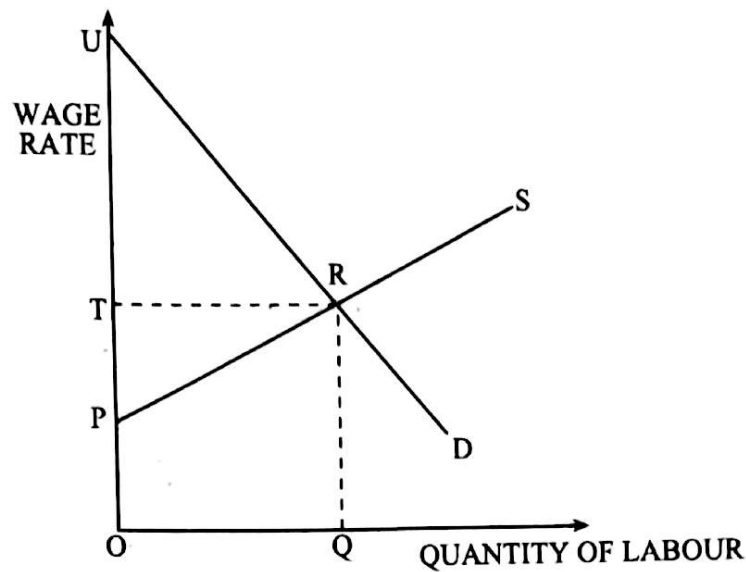
- 17 The table below shows a student's demand schedule for freezits.

Price (cents)	100	70	50	20
Freezit	1 st	2 nd ~	3 rd	4 th

If the freezit market price is 20 cents, what is his consumer surplus if he buys 2 freezits?

A	20 cents
B	40 cents
C	130 cents
D	170 cents

- 18 The diagram below shows the demand and supply conditions of a particular labour market.



In equilibrium the amount of economic rent and transfer earnings received by the employees are

- A areas OTRQ and TUR respectively.
 B areas PTR and URT respectively.
 C areas PTR and PRQO respectively.
 D areas PUR and PRQO respectively.
- 19 The evenness of income distribution in an economy can be deduced from the
- A Lorenz curve.
 B indifference curve.
 C production possibility frontier.
 D Phillips curve. —
- 20 A subsidy is totally beneficial to consumers when demand is
- A relatively elastic.
 B perfectly elastic.
 C perfectly inelastic.
 D unitarily elastic.

- 21 The following data is taken from a country's national income accounts.

	\$m
Total domestic expenditure at market prices	200
Exports	48
Imports	52
Indirect taxes	40
Net Property Income from abroad	+2
Depreciation (capital consumption)	20

The value of net national product is

- A \$142 m.
- B \$178 m.
- C \$182 m.
- D \$222 m.

- 22 How would the government deal with the twin evils of hyperinflation and unemployment?

	Hyperinflation	Unemployment
A	tighten import controls	lower interest rates
B	revalue currency	cut government expenditure
C	control prices	subsidise industries
D	ration foreign currency	cut government expenditure

- 23 Zimbabwean firms sell more minerals to the United States of America and buy more banking services from the United Kingdom. How would the Zimbabweans' balance of payments be affected?

	Visible Balance	Invisible Balance
A	improves	improves
B	improves	worsens
C	worsens	worsens
D	worsens	improves

- 24 What is meant by an appreciation of a currency?

- A a fall in value caused by government intervention
- B a fall in value caused by market forces
- C a rise in value caused by market forces
- D a rise in value caused by government intervention

- 25 What effect would a rise in a country's exchange rate have on its export and import prices?

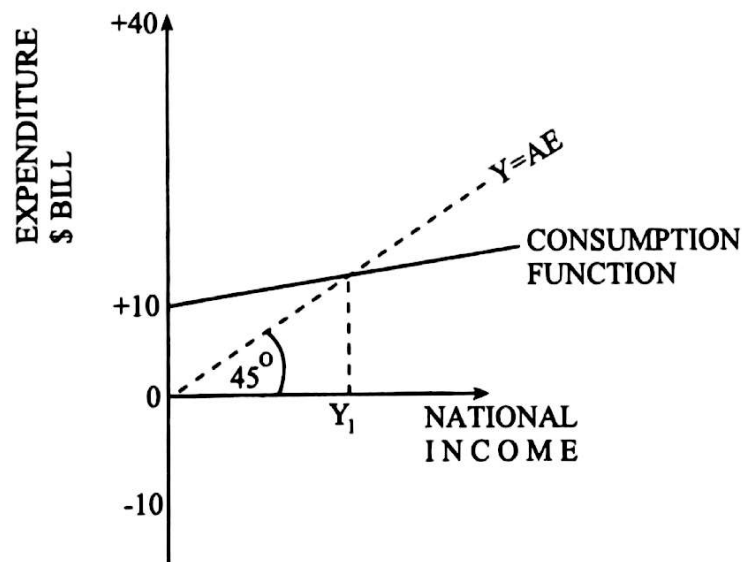
	Export prices	Import prices
A	increase	increase
B	increase	decrease
C	decrease	decrease
D	decrease	increase

- 26 Which one of the following would cause the value of the multiplier to be reduced?
- A an increase in consumption
 - B an increase in government expenditure
 - C an increase in the volume of exports
 - D an increase in the rate of taxation
- 27 The following data represent a consumption function for a closed economy with no government.

Income (\$m)	Consumption (\$m)
120	116
140	132
160	148
180	164
200	180
220	196

What is the value of the multiplier when income is \$200?

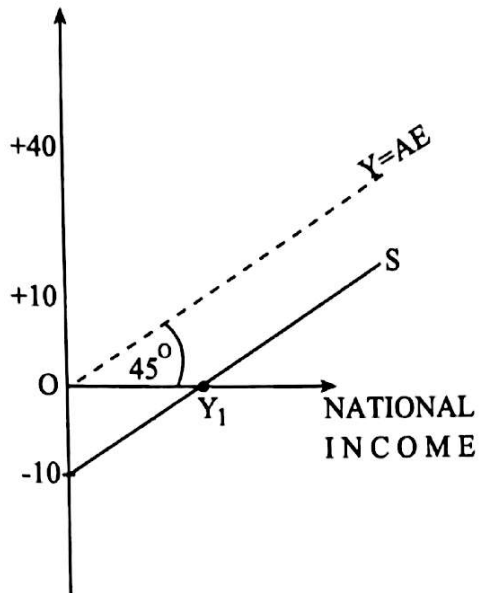
- A 0,2
 - B 0,8
 - C 5,0
 - D 10,0
- 28 The diagram below represents a consumption function for a closed economy without government.



Which of the following diagrams represents the corresponding saving(s) function?

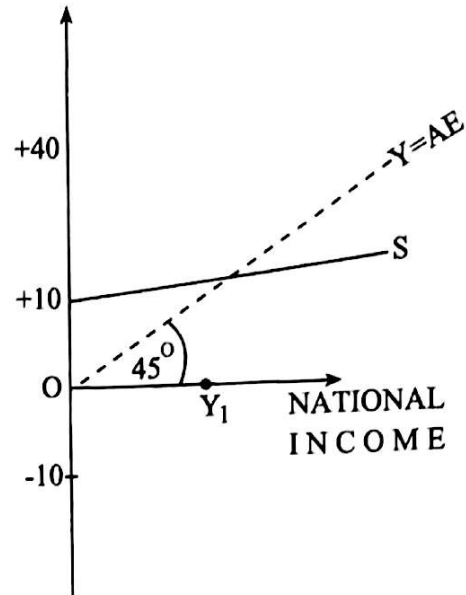
EXPENDITURE
\$ BILL

A



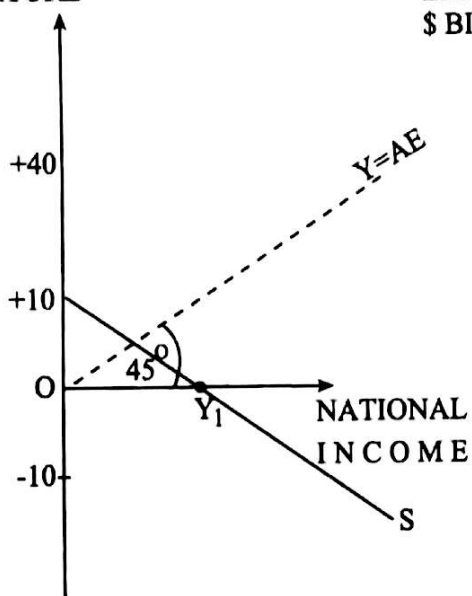
EXPENDITURE
\$ BILL

B



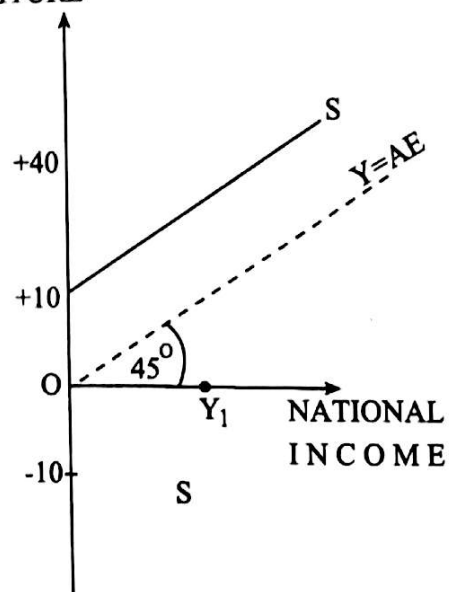
EXPENDITURE
\$ BILL

C



EXPENDITURE
\$ BILL

D



29 A rise in the index of retail prices is evidence of a fall in the

- A cost of living.
- B exchange rate.
- C terms of trade.
- D value of money.

- 30 If consumer expenditure is \$30 billion, government expenditure is \$10 billion, investment is \$20 billion, exports are \$16 billion and imports are \$20 billion, what is the GDP?
- A \$56 billion
 - B \$76 billion
 - C \$80 billion
 - D \$96 billion
- 31 The speculative demand for money is directly influenced by
- A the value of current transactions.
 - B the marginal propensity to consume.
 - C the marginal efficiency of capital.
 - D the expected level of interest rates.
- 32 Which of the following would cause cost-push inflation?
- A a higher level of consumption
 - B an increase in trade unionism
 - C an increase in labour productivity
 - D an appreciation of the exchange rate
- 33 Zimbabwe's steel industry is closed down as buyers switch their purchases of steel to another country. What type of unemployment will result from this?
- A cyclical
 - B frictional
 - C seasonal
 - D structural
- 34 If government would want to reduce the non-accelerating inflation rate of unemployment (NAIRU), which measure would be **inappropriate**?
- A a reduction in interest rates
 - B an increase in rates of unemployment benefits
 - C the abolition of state-imposed minimum wage rates
 - D the introduction of travel allowances for unemployed workers to search for jobs

- 35 The following table shows the breakdown of a government's tax revenue.

	\$m
Income tax	80 ✓
Corporation tax	40
Customs duties	20
Value added tax	70
Inheritance tax	10

What is the total amount of revenue received from indirect taxes?

- A \$220 m
- B \$130 m
- C \$ 90 m
- D \$ 30 m

- 36 The following bundle of goods and their weights are considered in calculating the cost of living.

Good	Weight	Current price
Medication	3	x
Education	5	120
Entertainment	2	105

If the current value of the retail price index is 114, what is the current price for medication, x?

- A 100
- B 110
- C 115
- D 120

- 37 In international trade, comparative advantage refers to the ability of the country to produce

- A all goods at lower cost measured in terms of labour input than its trading partners.
- B all goods at lower costs measured in money terms than its trading partners.
- C a good at a lower opportunity cost than its trading partners.
- D some goods which are demanded internationally.

- 38 From the table below, which country is likely to be the **least** developed?

Country	Population (millions)	Real GDP (\$m)	Life Expectance (Years)
A	100 ✓	600 ✓	58
B	200 ✓	2 000 ✓	70
C	300 ✓	2 100 ✓	58
D	400 ✓	3 600 ✓	70

- 39 Why do developing countries on average, have a low savings ratio?
- A Citizens have a range of saving institutions to choose from.
 - B Governments do not promote saving.
 - C Average income per head is low.
 - D Interest rates tend to be high.
- 40 Economic development is different from economic growth mainly because it
- A is an increase in the GDP.
 - B implies an improvement in social welfare.
 - C is an improvement in the terms of trade.
 - D is an outward shift of the production possibility frontier.



ZIMBABWE SCHOOL EXAMINATIONS COUNCIL
General Certificate of Education Advanced Level

ECONOMICS
PAPER 1 Multiple Choice

9158/1

NOVEMBER 2014 SESSION

1 hour 30 minutes

Additional materials;
Multiple Choice answer sheet
Soft eraser
Soft pencil (type B or HB is recommended)

TIME 1 hour 30 minutes

INSTRUCTIONS TO CANDIDATES

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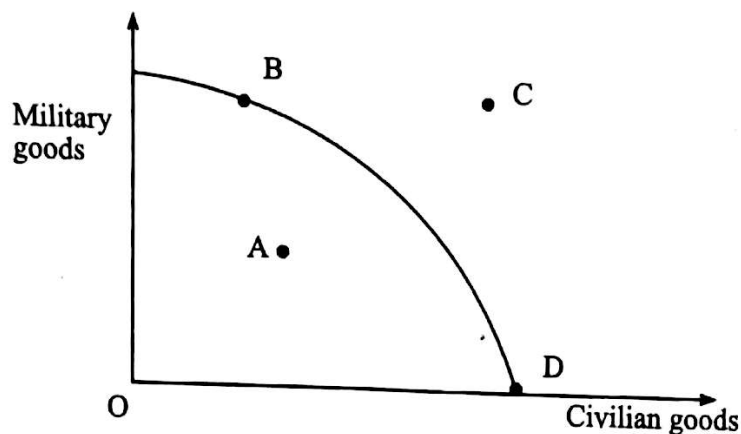
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[Turn over

- 1 Which of the following is **not** a positive statement?
- A There is a deficit on the balance of trade.
 - B Unemployment is currently above 50 %.
 - C Inflation rate has fallen to a single digit.
 - D Controlling inflation is more important than economic growth.

- 2 The diagram below shows a production possibility curve.



Point D is a possible combination of output when

- A there is inefficiency in production.
 - B such output is desirable but unattainable.
 - C preferences and tastes are only for civilian goods.
 - D military goods are exported while civilian goods are imported.
- 3 In a planned economy, the basic question of who gets the output is answered through
- A consumer votes.
 - B government directives.
 - C producer preferences and sovereignty.
 - D the interaction of supply and demand forces.
- 4 The exchange rate derived from purchasing power parity is based on
- A the inflation differentials.
 - B comparison of consumer baskets.
 - C demand and supply of foreign currency.
 - D government controls on the exchange rate movements.

5. Which tax regime is being used in an economy where an individual's successive earnings are as given below?

Period	Earnings (\$)	Tax paid (\$)
1	100	7
2	150	12
3	200	18

- A neutral
 B progressive
 C proportional
 D regressive

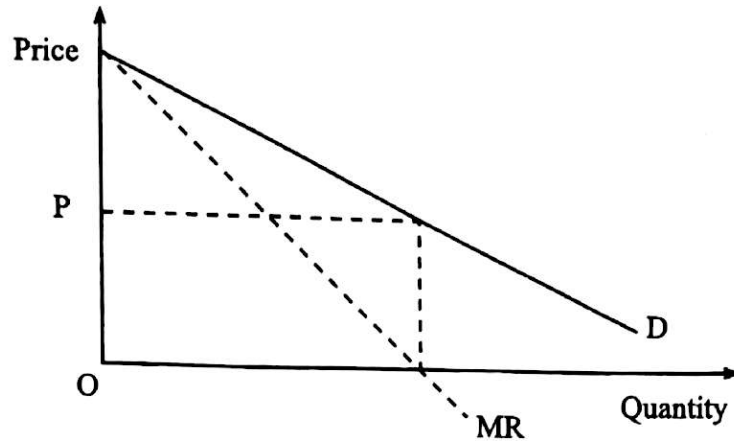
- ✓ The schedule below shows the prices a producer is willing to accept for successive units of a good.

unit price (\$)	6	7	8	9	10	11	12
output (units)	1	2	3	4	5	6	7

If the market price is \$10 per unit, what is the producer's surplus?

- A \$ 10,00
 B \$ 12,50
 C \$ 37,50
 D \$ 50,00

- 7 The diagram shows the demand curve and its associated marginal revenue curve.



- At price **P**, total revenue is
- A increasing.
 - B decreasing.
 - C at its highest.
 - D at its lowest.
- 8 A tight monetary policy could be offset by
- A a budget surplus.
 - B a decline in the velocity of money.
 - C an increase in the velocity of money.
 - D a deterioration in the profit expectations of business.
- 9 The firm under monopolistical competition is likely to produce less and set a higher price than under perfect competition because the firm
- A faces increasing costs.
 - B must incur selling expenses.
 - C faces decreasing returns to scale.
 - D faces a downward sloping demand curve.
- 10 Long run profit levels for a contestable market are likely to be
- A breakeven.
 - B normal.
 - C subnormal.
 - D supernormal

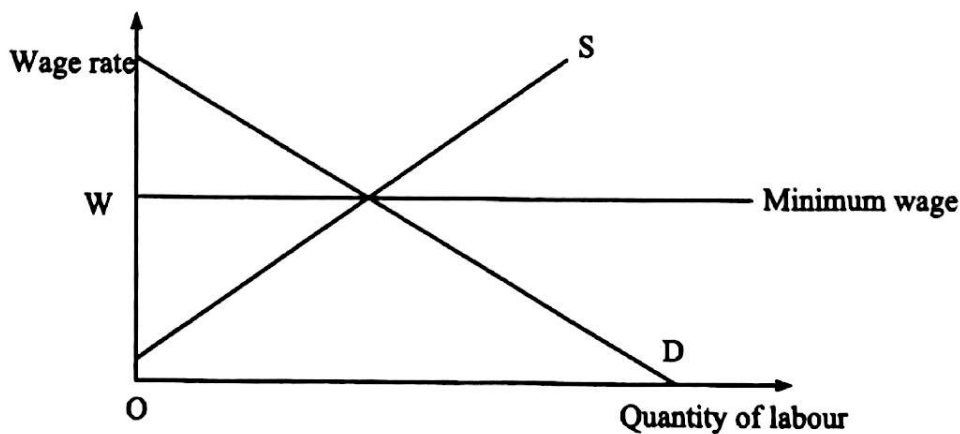
- 11 Producers in a monopolistically competitive industry agreed to form a cartel. What are the effects on quantity produced and profits earned?

	effect on quantity	effect on profit
A	falls	falls
B	falls	rises
C	rises	rises
D	rises	no change

- 12 Assuming The Herald and The Independent sales are 300 and 250 copies respectively. The price of The Herald rose from 80 cents to 100 cents and sales for The Independent rose to 280.

The cross elasticity of demand for the newspapers is

- A 0,12.
 B 0,25.
 C 0,37.
 D 0,48.
- 13 The diagram below relates to the market for skilled labour.



The government imposes a minimum wage rate of OW. If supply of labour decreases

- A the wage rate increases and employment decreases.
 B both the wage rate and unemployment remain unchanged.
 C the wage rate increases and unemployment remains unchanged.
 D the wage rate remains unchanged and employment decreases.

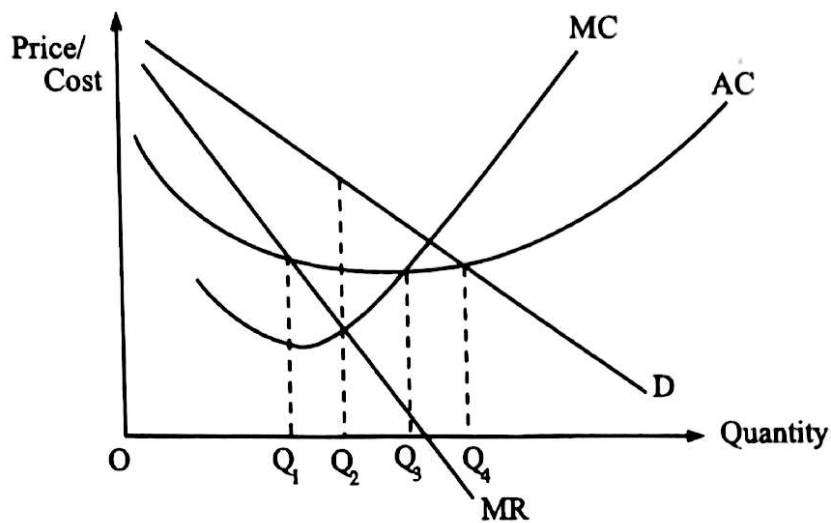
- 14 A producer progressively reduces the price of his product as shown in the table below.

Price (\$)	Quantity demanded (000's)
50	10
20	25
10	50

What is the price elasticity of demand for the product?

- A perfectly elastic
 - B relatively elastic
 - C perfectly inelastic
 - D relatively inelastic
- 15 The speculative demand for money is positively associated with
- A wealth.
 - B inflation.
 - C interest rate.
 - D general price level.
- 16 Wage differentials can arise from the
- A demand and supply of labour.
 - B minimum wage legislation.
 - C demand for labour only.
 - D supply of labour only.
- 17 An economic integration providing for the duty free movement of goods between member states and a common external tariff is
- A a common market.
 - B a customs union.
 - C a free trade association.
 - D an economic union.

- 18 The diagram shows the monopolist's demand and marginal cost curves.



Excess capacity is shown by

- A $Q_2 - Q_1$.
- B $Q_3 - Q_2$.
- C $Q_4 - Q_2$.
- D $Q_3 - Q_1$.

- 19 Economic profit affects

- A allocation of resources and the level of resource use.
- B misallocation of resources and the level of income.
- C the allocation of resources but not the level of resources.
- D the level of resource use but not the allocation of resources.

- 20 The information below relates to an economy.

	\$ Million
Consumption	600
Government	400
Investment	400
Exports	500
National income	1 800

What is the value of net exports?

- A \$ 100 million
- B \$ 300 million
- C \$ 400 million
- D \$ 500 million

21 By fixing the exchange rate, the Central Bank gives up its ability to

- A adjust taxes.
- B depreciate the domestic currency.
- C influence the economy through fiscal policy.
- D influence the economy through monetary policy.

22 The table shows an economy producing only guns and butter.

Year	Production of guns	Gun price	Production of butter	Butter price
2004	600	\$ 20	1 000	\$5
2005	840	\$ 30	1 800	\$10

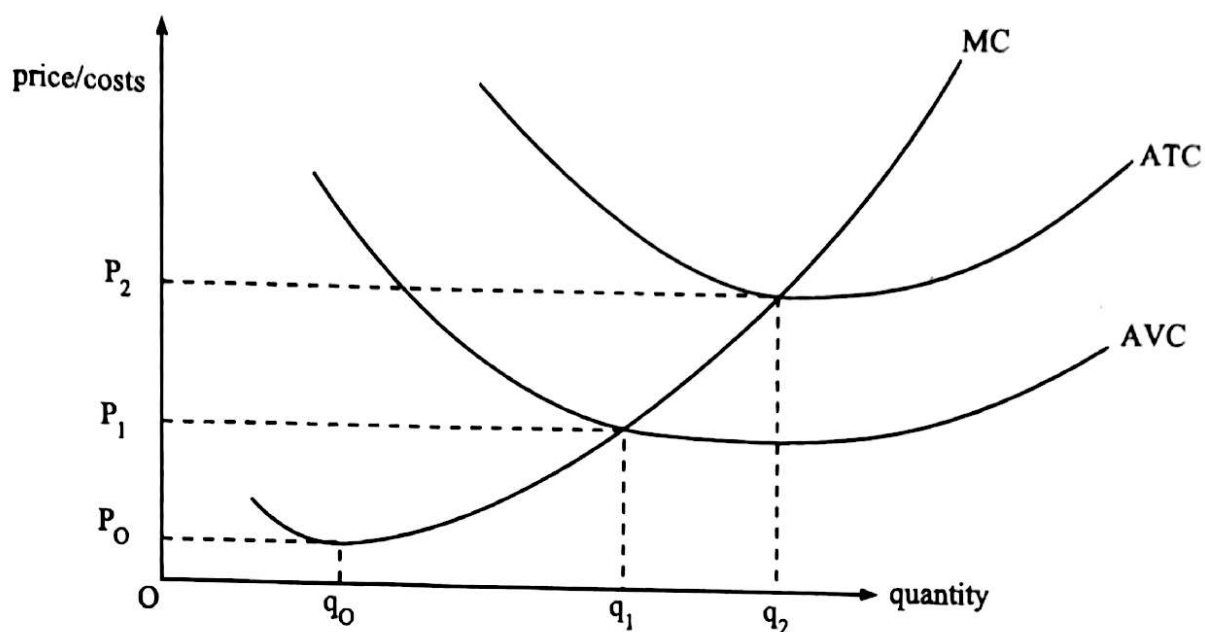
Given that year 2004 is the base year, the real Gross Domestic Product in 2005 is

- A 2 640.
- B 17 000.
- C 25 800.
- D 43 200.

23 In a closed economy, each extra dollar income is taxed at 20% while the marginal propensity to consume out of disposable income is 75%. What is the value of the multiplier?

- A 0,5
- B 1,7
- C 2,2
- D 4,0

- 24 The diagram below shows the cost curves of a firm.



At price P_1 the firm

- A incurs an economic loss.
 - B incurs normal profits.
 - C is operating at full capacity.
 - D should shut down.
- 25 The table shows the production possibilities before opening up for trade to take place.

	Country 1	Country 2
Good A	16	6
Good B	48	18

What can be deduced from the table?

- A Country 2 should specialise in good A.
- B Country 1 has a comparative advantage in good B.
- C Engaging in trade will not benefit both countries.
- D Engaging in trade will benefit Country 2 at the expense of Country 1.

- 26 In which of the following situations must the terms of trade be moving in favour of a country?
- A when official reserves are increasing
 - B when the balance of trade is in a surplus
 - C when there is a fall in both export and import prices
 - D when import prices rise at a slower rate than its export prices
- 27 In one year, economic growth was 5 %, consumer price index fell by 6 % while population size rose by 2%. What was the appropriate rise in real GDP per head?
- A -3 %
 - B 1 %
 - C 9 %
 - D 13 %
- 28 When the wage rate increases from \$5 to \$7.50 per hour, Joseph works more hours because his
- A income effect outweighs his substitution effect.
 - B substitution effect outweighs his income effect.
 - C income and substitution effects offset each other exactly and the firm's demand for his labour increases.
 - D income and substitution effects offset each other exactly and his supply of labour increases.
- 29 Black markets are associated with price
- A floors and the resulting product surpluses.
 - B floors and the resulting product shortages.
 - C ceilings and the resulting product shortages.
 - D ceilings and the resulting product surpluses.
- 30 The demand for Zimbabwe dollars on the foreign currency market increases when
- A exports increase.
 - B imports increase.
 - C locals go on holiday abroad.
 - D scholarships are given by a local trust fund to study abroad.



ZIMBABWE SCHOOL EXAMINATIONS COUNCIL

General Certificate of Education Advanced Level

ECONOMICS

9158/1

PAPER 1 Multiple Choice

NOVEMBER 2015 SESSION

1 hour 30 minutes

Additional materials;

Multiple Choice answer sheet

Soft eraser

Soft pencil (type B or HB is recommended)

TIME 1 hour 30 minutes

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Calculators may be used.

Teacher's resource

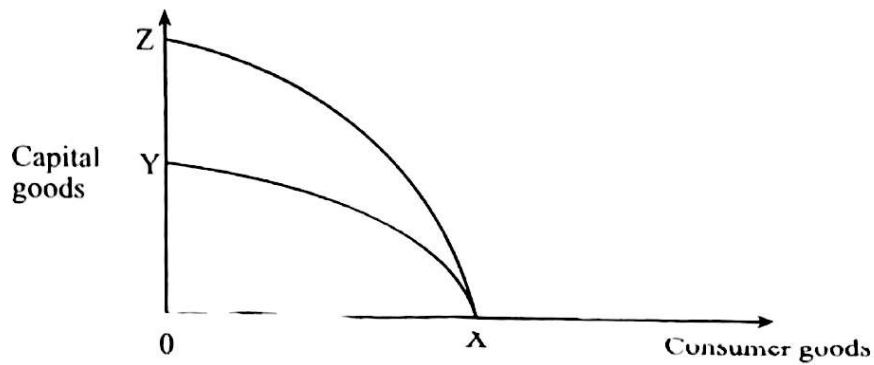
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1 In an economy, resources are allocated through the following **except**

- A carrying out surveys.
- B cost-benefit analysis.
- C self-interest motive.
- D societal interest motive.

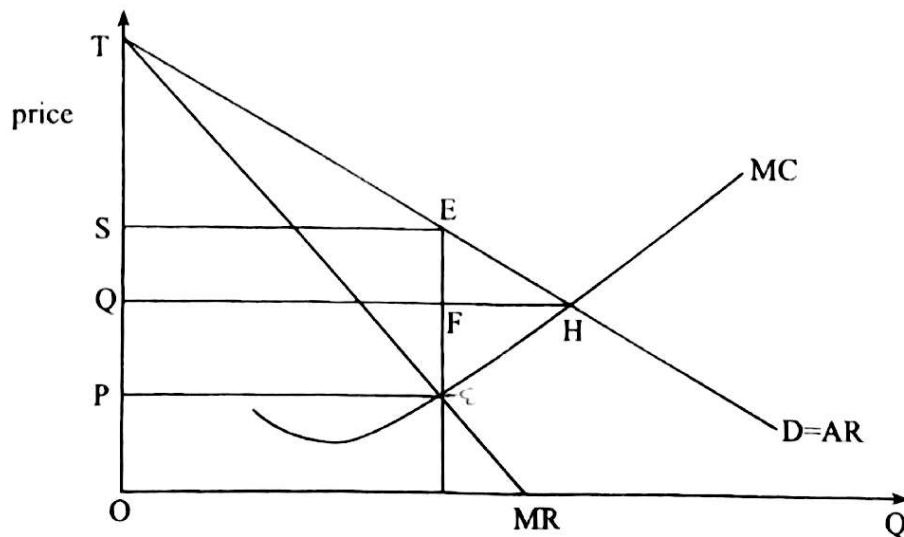
2 The diagram below shows the Production Possibility Curve (PPC) of an economy.



A shift from XY to XZ may imply that there is

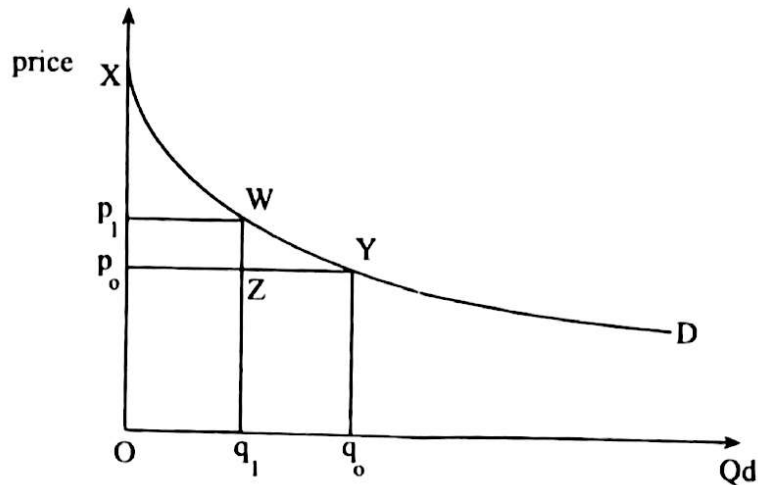
- A a decrease in consumption.
- B an improvement in technology.
- C an increase in demand for consumer goods.
- D an increase in demand for capital goods.

3 A profit-maximising firm will always produce at point



- A S.
- B T.
- C P.
- D Q.

- 4 The diagram below relates to demand for a good.



When the price of the good increases from P_0 to P_1 , the consumer surplus will fall by

- A P_0XY .
 - B P_1WX .
 - C P_0P_1WY .
 - D q_1q_0YZ .
- 5 A producer wishes to increase total revenue by reducing price.

Price	Total Revenue
20	1 000
15	1 000
10	1 000

These results show that the price elasticity of demand is

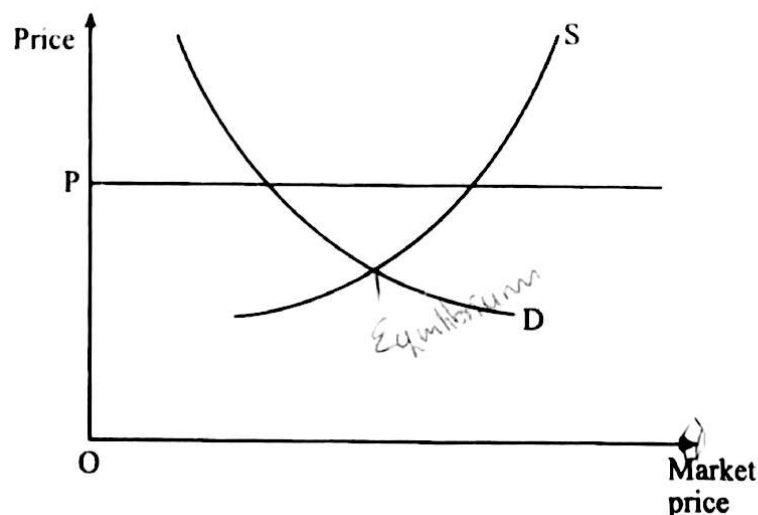
- A unitary.
 - B perfectly elastic.
 - C perfectly inelastic.
 - D relatively elastic.
- 6 A worker's wage increased by 7,5% but at the same time the price level rose by 2,5%. The effect on the worker's real income rose by
- A 18,75%.
 - B 10%.
 - C 5%.
 - D 3%.

- 7 What is the relationship between product curves at the point where diminishing marginal returns set in?
- A Total product curve is below the average product curve.
 - B Marginal product curve cuts the average product curve.
 - C Marginal product curve is above the average product curve.
 - D Average product curve is above the marginal product curve.
- 8 Which of the following characteristics are common to both monopoly and monopolistic competition?
- A nature of the product
 - B nature of the demand curve
 - C number of firms in an industry
 - D degrees of freedom of entry and exit of firms
- 9 The schedule below is based on the consumption of apples and bananas by an individual.

Bananas	3	4
Apples	11	8

What is the consumer's opportunity cost of consuming the fourth banana?

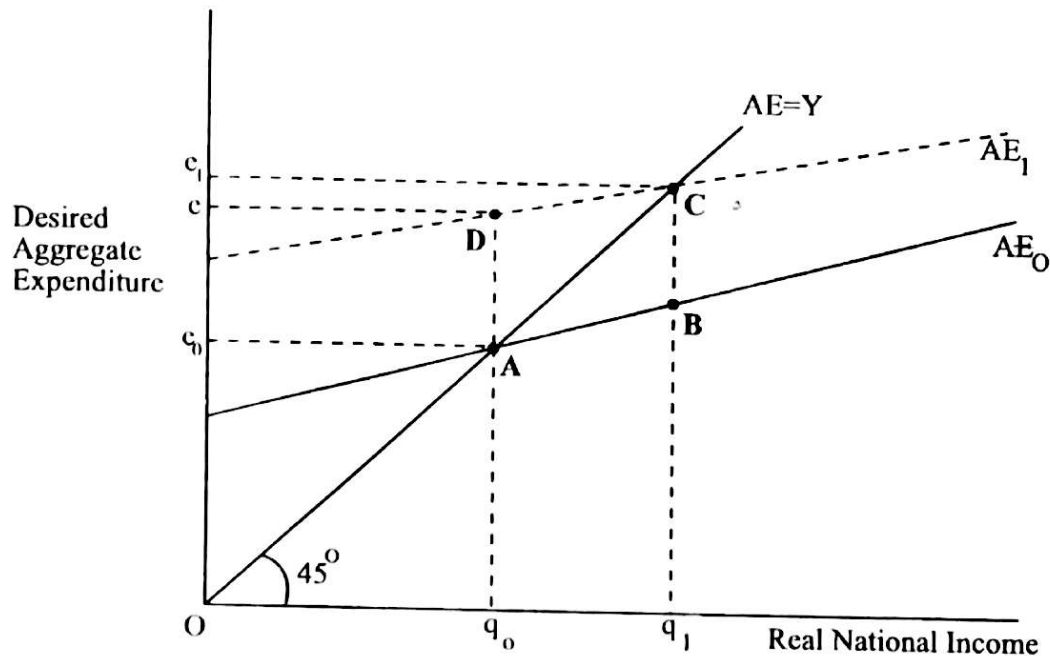
- A 0,27
 - B 0,50
 - C 2,0
 - D 3,0
- 10 The diagram below shows the market for maize with a legal price of OP.



What could cause the new equilibrium to shift to the level of the set price?

- A advertising campaign for mealie meal
- B bumper harvest of maize
- C increase in subsidies to maize farmers
- D increase in the price of rice

- 11 The conditions of consumer equilibrium exist where
- all marginal utilities are equal.
 - demand equals supply in all markets.
 - no barriers to entry or exit exist.
 - ratios of marginal utility to price are the same for all goods.
- 12 If given Gross Domestic Product (GDP) at factor cost, then Gross Domestic Product (GDP) at market prices is calculated by adding
- net property income from abroad.
 - subsidies and subtracting taxes on expenditure.
 - taxes on expenditure and subtracting subsidies.
 - government expenditure and subtracting gross investment.
- 13 In the diagram below, after an increase in the autonomous component of desired Aggregate Expenditure (AE) from AE_0 to AE_1 , what will be the new equilibrium?



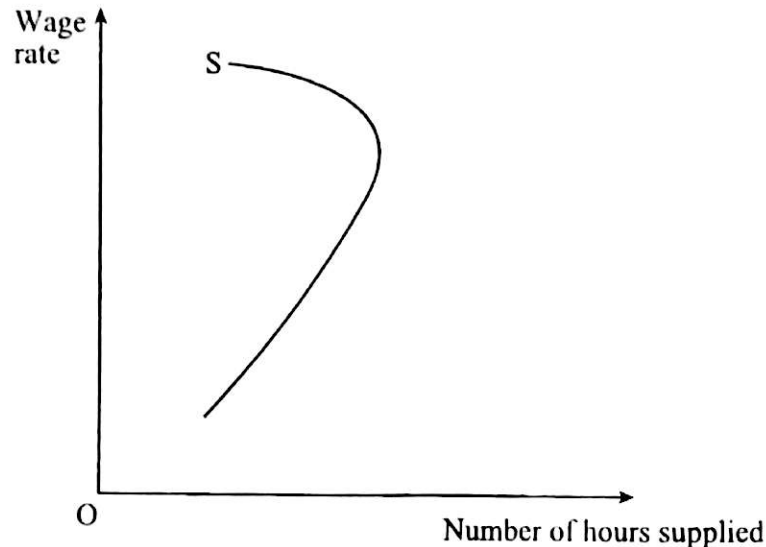
- 14 What is the effect of an increase in money supply on real national income and the price level when the economy is at full employment?

	Real national income	Price level
A	decrease	decrease
B	increase	increase
C	decrease	increase
D	increase	decrease

- 15 Given that consumption = $50 + 0,8Y$, Government Expenditure = 300, Investment = 500 and net exports = $600 - 0,2Y$, what is the value of the equilibrium income?

A 1 375
 B 1 750
 C 2 750
 D 3 625 *

- 16 The graph below shows the supply of labour.

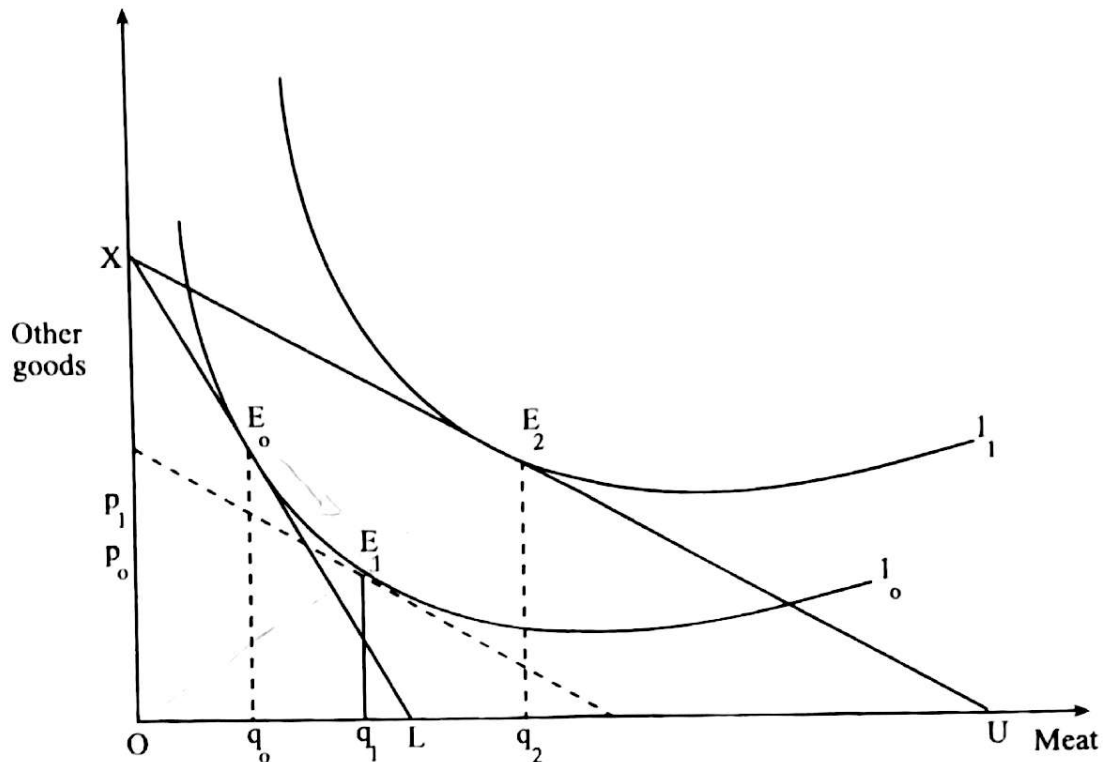


Which of the following determines the shape of the curve?

- A A worker prefers more leisure time as wages increase.*
 B A worker prefers more labour hours as wages increase.
 C The substitute effect is now equal to the income effect.
 D Marginal utility of work is greater than marginal utility of the wage.
- 17 The current account in the balance of payments includes
- A foreign aid.
 B hot money flows.*
 C net property income from abroad.
 D transfer of ownership of fixed assets.
- 18 The difference between a customs union and a common market is that only a
- A customs union is a trading bloc.
 B customs union removes tariffs and quotas on internal trade.
 C common market allows free movement of factors of production between members.
 D common market establishes common barriers to trade with the rest of the world.

- 19 What will be the marginal factor cost (MFC) faced by the monopsonist by increasing the wage paid to the 11th worker from \$200 to \$250?
- A \$50.
 - B \$250.
 - C \$750.
 - D \$2 750.
- 20 The condition that would cause a perfectly competitive firm to shut down in the short run is when price
- A equals marginal cost.
 - B equals marginal revenue.
 - C is less than marginal cost.
 - D is less than average variable cost.
- 21 When all factors of production are variable, firms using factors A and B and given their marginal products (MP) and prices (P), a firm in order to maximise profits should produce where
- A $\frac{MP_A}{P_A} = \frac{MP_B}{P_B}$.
 - B $\frac{MP_A}{MP_B} = \frac{P_B}{P_A}$.
 - C $\frac{MP_A}{P_B} = \frac{MP_B}{P_A}$.
 - D $\frac{P_A}{MP_A} = \frac{MP_B}{P_B}$.
- 22 In the shortrun, the total revenue of a firm must cover
- A fixed costs.
 - B variable costs.
 - C total costs.
 - D marginal costs.
- 23 Which of the following is an effect of imposing a quota?
- A reducing domestic production
 - B reducing government tax revenue
 - C lowering amounts consumed and imported
 - D lowering prices of domestically produced goods

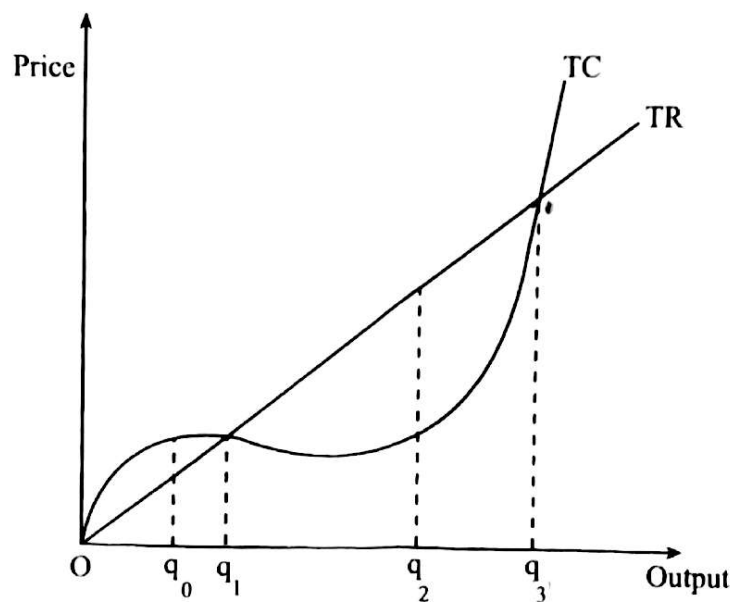
- 24 The diagram below relates to the consumption of meat in relation to other goods.



The substitution effect of a price fall in meat is represented by a movement from

- A q_0 to q_2 .
 - B q_1 to q_2 .
 - C q_0 to q_1 .
 - D q_2 to q_0 .
- 25 A new deposit of \$1 billion is placed in a bank. The cash ratio is 20%.
- How much does the money supply increase by assuming that there are no leakages?
- A \$1 billion
 - B \$5 billion
 - C \$10 billion
 - D \$20 billion
- 26 Public goods are unlikely to be provided by the private sector because
- A the consumption of the good creates negative externalities.
 - B the exclusion principle does not apply to public goods.
 - C non-payers can be excluded from the consumption of the goods.
 - D the production of the goods create negative externalities.

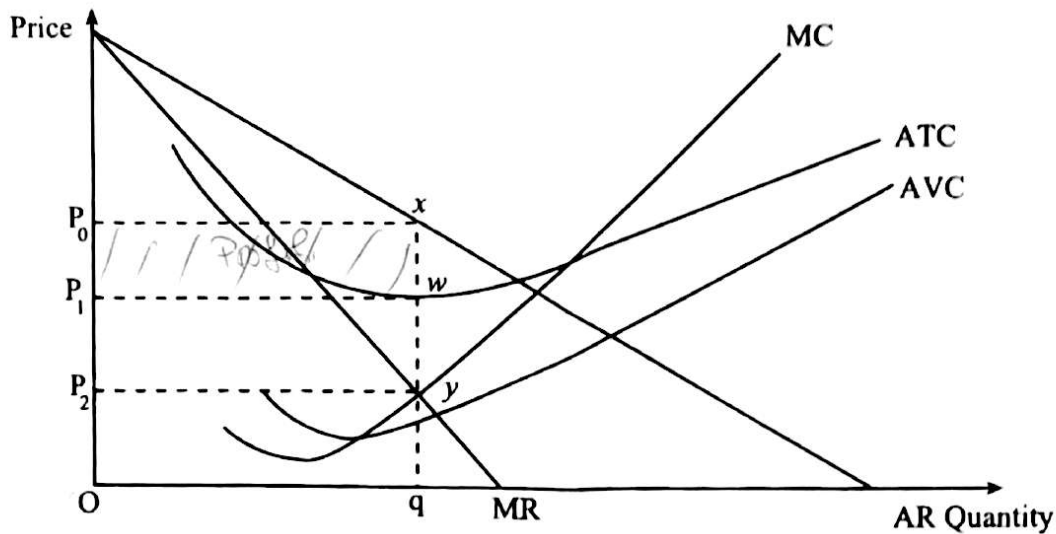
- 27 The diagram below shows the Total Revenue (TR) and Total Cost (TC) curves of a firm.



What is the profit-maximising output?

- A $0q_0$ ●
 B $0q_1$ ●
 C $0q_2$ ●
 D $0q_3$ ● ✓
- 28 Excise taxes on tobacco lead to significant government revenue because
- A the supply of tobacco is elastic.
 B supply of tobacco is inelastic.
 C ✓ the demand for tobacco is inelastic.
 D the demand for tobacco is elastic.
- 29 Forms of near money include the following **except**
- A coupons.
 B treasury bills.
 C credit cards.
 D fixed account deposits with Building Societies.

- 30 The diagram below relates to a monopolistic competition operating in the short run.



Total profits are shown by the area.

- A P_0P_1wx ●
 B P_0P_2yx ●
 C P_1P_2yw ●
 D $OqyP_2$ ●
- 31 In an economy operating at full employment, government can reallocate resources from private to public employment by
- A increasing taxes and reducing government expenditure. ●
 B increasing taxes and increasing government expenditure.
 C reducing taxes and reducing government expenditure.
 D reducing taxes and increasing government expenditure.
- 32 One of the solutions of reducing unemployment is to stimulate aggregate demand. If the national income is at full employment level, this will lead to a
- A Balance of Payments (BOP) deficit.
 B government budget deficit.
 C reduced economic growth.
 D rise in inflation. ●
- 33 A country's demand curve for imports is inelastic. Import prices rise by 5% while export prices decrease by 5%. The country's Terms of Trade (TOT) will
- A increase by 5%.
 B decrease by 5%.
 C increase by 10%.
 D decrease by 10%. ●

- 34 What are the long run effects of increasing government spending where there are fixed exchange rates and perfect capital mobility on domestic price level and trade deficit?

	Domestic price level	Trade deficit
A	increase	increase
B	increase	decrease
C	decrease	decrease
D	decrease	increase

- 35 Deflation involves

- A decreasing domestic interest rate.
- B decreasing level of money supply.
- C increasing government expenditure.
- D increasing taxes.

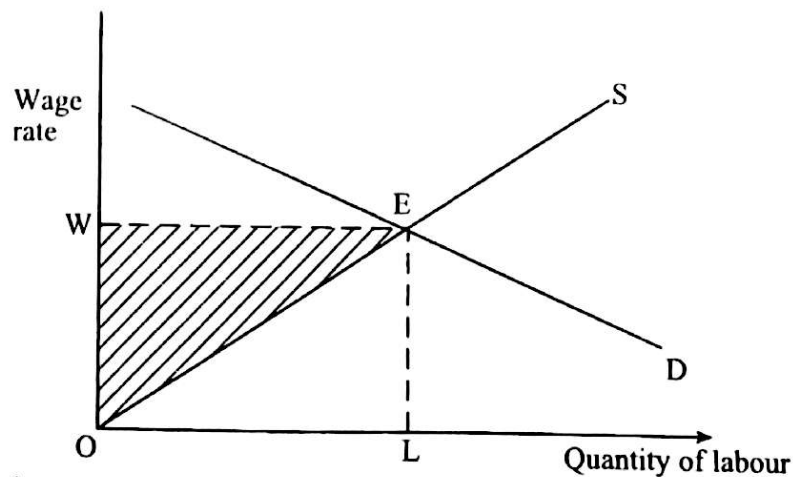
- 36 The table below relates to an economy producing goods A and B.

Year	Good A		Good B	
	Units	Price	Units	Price
2011	10	10	20	20
2012	50	20	100	50

The real Gross Domestic Product (GDP) for 2012 is

- A 1 000.
- B 2 500.
- C 5 500.
- D 6 000.

- 37 The diagram below relates to supply and demand for labour.



The shaded area represents

- A economic rent.
- B producer surplus.
- C quasi-rent.
- D transfer earnings.

38 Some countries are said to have economic growth without economic development. What factors only influence economic development in a country?

- A high Gross Domestic Product and increased external trade •
- B increased leisure hours and low infant mortality rate •
- C increased quantity of resources and improved technology •
- D high employment rate and increased quantity of resources •

39 An economy has the following figures on its balance of payments account.

	\$ (m)
Current account	-1 100
Capital account	+1 500
Balancing item	+400

The official financing is

- | | |
|---|----------|
| | \$ (m) |
| A | + 400. • |
| B | + 800. • |
| C | - 400. • |
| D | - 800. • |

40 When aggregate demand is reduced to control inflation and a balance of payments position, this may clash with policy objectives of

- A economic growth and full employment. •
- B equitable wealth and income redistribution. •
- C exchange rates stability and increased Gross Domestic Product. •
- D increased investment and economic development. •